

Hilltops Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2025



Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2025



General Purpose Financial Statements

for the year ended 30 June 2025

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Overview

Hilltops Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2025

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to Section 413 (2c) of the *Local Government Act 1993*

The attached general purpose financial statements have been prepared in accordance with:

- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards issued by the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 24 September 2025.



Clr Brian Ingram
Mayor
24 September 2025



Clr Tony Flanery
Councillor
24 September 2025



Mr Anthony O'Reilly
General Manager
24 September 2025



Mr Simon Doolan
Responsible Accounting Officer
24 September 2025

Hilltops Council

Income Statement

for the year ended 30 June 2025

Original unaudited budget 2025	\$ '000	Notes	Actual 2025	Actual 2024
	Income from continuing operations			
29,165	Rates and annual charges	B2-1	28,042	26,703
16,080	User charges and fees	B2-2	16,950	17,175
1,404	Other revenues	B2-3	1,514	1,445
15,942	Grants and contributions provided for operating purposes	B2-4	15,478	17,661
17,462	Grants and contributions provided for capital purposes	B2-4	20,985	21,526
2,209	Interest and investment income	B2-5	2,947	3,124
—	Other income	B2-6	724	705
—	Net gain from the disposal of assets	B4-1	83	—
82,262	Total income from continuing operations		86,723	88,339
	Expenses from continuing operations			
22,317	Employee benefits and on-costs	B3-1	23,947	21,702
22,917	Materials and services	B3-2	27,389	26,950
483	Borrowing costs	B3-3	1,084	937
1,350	Other expenses	B3-5	1,437	1,097
—	Net loss from the disposal of assets	B4-1	—	284
47,067	Total expenses from continuing operations excluding depreciation, amortisation and impairment of non-financial assets		53,857	50,970
35,195	Operating result from continuing operations excluding depreciation, amortisation and impairment of non-financial assets		32,866	37,369
22,160	Depreciation, amortisation and impairment of non-financial assets	B3-4	24,161	22,434
13,035	Operating result from continuing operations		8,705	14,935
(4,427)	Net operating result for the year before grants and contributions provided for capital purposes		(12,280)	(6,591)

The above Income Statement should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Comprehensive Income

for the year ended 30 June 2025

\$ '000	Notes	2025	2024
Net operating result for the year – from Income Statement		8,705	14,935
Other comprehensive income:			
Amounts which will not be reclassified subsequent to operating result			
Gain/(loss) on revaluation of infrastructure, property, plant and equipment	C1-7	24,300	34,436
Total items which will not be reclassified subsequent to operating result		24,300	34,436
Total other comprehensive income for the year		24,300	34,436
Total comprehensive income for the year attributable to Council		33,005	49,371

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Financial Position

as at 30 June 2025

\$ '000	Notes	2025	2024
ASSETS			
Current assets			
Cash and cash equivalents	C1-1	24,185	20,915
Investments	C1-2	28,142	43,103
Receivables	C1-4	9,966	10,252
Inventories	C1-5	1,567	1,728
Contract assets and contract cost assets	C1-6	6,349	4,209
Other	C1-8	145	—
Total current assets		70,354	80,207
Non-current assets			
Receivables	C1-4	153	158
Infrastructure, property, plant and equipment (IPPE)	C1-7	879,602	844,150
Right of use assets	C2-1	6	28
Total non-current assets		879,761	844,336
Total assets		950,115	924,543
LIABILITIES			
Current liabilities			
Payables	C3-1	4,722	4,976
Contract liabilities	C3-2	8,661	14,931
Lease liabilities	C2-1	7	22
Borrowings	C3-3	1,504	1,516
Employee benefit provisions	C3-4	5,856	5,548
Provisions	C3-5	11,713	8,028
Total current liabilities		32,463	35,021
Non-current liabilities			
Payables	C3-1	117	85
Lease liabilities	C2-1	—	7
Borrowings	C3-3	8,575	10,360
Employee benefit provisions	C3-4	1,492	1,442
Provisions	C3-5	5,754	8,919
Total non-current liabilities		15,938	20,813
Total liabilities		48,401	55,834
Net assets		901,714	868,709
EQUITY			
Accumulated surplus		647,750	639,045
IPPE revaluation surplus		253,964	229,664
Total equity		901,714	868,709

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Changes in Equity

for the year ended 30 June 2025

		2025			2024		
		Accumulated surplus	IPPE revaluation surplus	Total equity	Accumulated surplus	IPPE revaluation surplus	Total equity
\$ '000	Notes						
Opening balance at 1 July		639,045	229,664	868,709	624,110	195,228	819,338
Net operating result for the year		8,705	–	8,705	14,935	–	14,935
Other comprehensive income							
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	–	24,300	24,300	–	34,436	34,436
Other comprehensive income		–	24,300	24,300	–	34,436	34,436
Total comprehensive income		8,705	24,300	33,005	14,935	34,436	49,371
Closing balance at 30 June		647,750	253,964	901,714	639,045	229,664	868,709

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Cash Flows

for the year ended 30 June 2025

Original unaudited budget 2025	\$ '000	Notes	Actual 2025	Actual 2024
Cash flows from operating activities				
Receipts:				
29,165	Rates and annual charges		28,165	26,949
16,079	User charges and fees		17,609	16,047
2,209	Interest received		3,069	2,360
33,404	Grants and contributions		28,012	50,054
–	Bonds, deposits and retentions received		18	22
1,404	Other		1,649	1,375
Payments:				
(22,317)	Payments to employees		(23,462)	(21,327)
(22,917)	Payments for materials and services		(27,215)	(27,505)
(483)	Borrowing costs		(391)	(446)
(1,350)	Other		(2,123)	(1,091)
35,194	Net cash flows from operating activities	G1-1	25,331	46,438
Cash flows from investing activities				
Receipts:				
13,845	Sale of investments		4,485	10,810
403	Proceeds from sale of IPPE		898	854
–	Deferred debtors receipts		5	50
Payments:				
(8,625)	Redemption / (acquisition) of term deposits		10,476	(13,696)
(36,961)	Payments for IPPE		(36,106)	(31,200)
(31,338)	Net cash flows from investing activities		(20,242)	(33,182)
Cash flows from financing activities				
Receipts:				
1,620	Proceeds from borrowings		–	–
Payments:				
(1,845)	Repayment of borrowings		(1,797)	(1,801)
–	Principal component of lease payments		(22)	(21)
(225)	Net cash flows from financing activities		(1,819)	(1,822)
3,631	Net change in cash and cash equivalents		3,270	11,434
–	Cash and cash equivalents at beginning of year		20,915	9,481
3,631	Cash and cash equivalents at end of year	C1-1	24,185	20,915

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Hilltops Council

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A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 31 October 2025. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The material accounting policy information (under AASB 2021-2) adopted in the preparation of these consolidated financial statements is set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993* (Act) and *Local Government (General) Regulation 2021* (Regulation), and the Local Government Code of Accounting Practice and Financial Reporting. Council is a not-for-profit entity. The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- i. estimated fair values of infrastructure, property, plant and equipment – refer Note C1-7
- ii. estimated tip remediation provisions – refer Note C3-5
- iii. employee benefit provisions – refer Note C3-4.

Significant judgements in applying the Council's accounting policies

- i. Determination of whether performance obligations are sufficiently specific and whether the contract is within the scope of AASB 15 *Revenue from Contracts with Customers* and / or AASB 1058 *Income of Not-for-Profit Entities* – refer to Notes B2-2 to B2-4

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

The Consolidated Fund has been included in the financial statements of the Council.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- General purpose operations
- Water service
- Sewerage service
- Section 355 Committees of Council
- South West Regional Waste Management Group
- South West Rural Fire Service

A1-1 Basis of preparation (continued)

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

Volunteer services

Council's Tourist centre and community operations use volunteers to assist in their operation. The inconsistency and variability of times worked provides these activities with assistance when required. The value of volunteer labour is considered not material due to the use being minor or not reliably measurable.

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations have been published that are not mandatory for the 30 June 2025 reporting period. Council has not applied any pronouncements before its operative date in the annual reporting period beginning 1 July 2024.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

New accounting standards adopted during the year

During the year Council adopted all accounting standards and interpretations (as issued by the Australian Accounting Standards Board) which were mandatorily effective from the first time at 30 June 2025.

As at the date of authorisation of these financial statements Council does not consider that any of these new standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows

Further information on the newly adopted standards which had a material impact on Council's reported financial position, financial performance and/or associated financial statement disclosures can be found at C3-3 and E2-1

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

\$ '000	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Functions or activities										
Governance	142	543	2,270	1,893	(2,128)	(1,350)	77	–	2,531	2,214
Administration	914	3,071	4,226	3,390	(3,312)	(319)	145	482	121,516	116,773
Compliance	696	698	1,475	1,409	(779)	(711)	593	643	5,138	4,781
Planning and Development	976	832	2,387	2,372	(1,411)	(1,540)	13	744	24	24
Environment	7,905	7,537	9,762	10,861	(1,857)	(3,324)	2,485	2,734	49,856	48,589
Community Services	594	227	4,261	3,837	(3,667)	(3,610)	68	25	61,019	63,362
Water Supplies	12,958	11,031	10,952	9,231	2,006	1,800	508	604	82,187	79,764
Sewerage Supplies	6,206	5,712	4,554	4,216	1,652	1,496	248	211	74,047	71,563
Recreation and culture	699	4,503	8,743	7,125	(8,044)	(2,622)	988	4,484	128,796	126,540
Transport	30,632	27,877	26,116	26,230	4,516	1,647	23,538	19,092	395,095	380,513
Destination and Economy	1,403	1,368	3,272	2,840	(1,869)	(1,472)	494	636	29,906	30,420
General purpose Income	23,598	24,940	–	–	23,598	24,940	7,306	9,532	–	–
Total functions and activities	86,723	88,339	78,018	73,404	8,705	14,935	36,463	39,187	950,115	924,543

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, emergency services and any Council policy compliance.

Compliance

Includes enforcement of regulations, health and animal control.

Planning and Development

Includes town planning and building control

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage quarries and stormwater management.

Community services

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration, youth services; aged and disabled persons services; and children services. Also Includes cemeteries, public conveniences and other amenities.

Water supplies

Includes the provision of water to customers.

Sewerage supplies

Includes the provision of a sewerage service.

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Transport

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, street lighting quarries and pits and aerodromes.

Destination and Economy

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; saleyards and markets; real estate development; and other business undertakings.

B2 Sources of income

B2-1 Rates and annual charges

\$ '000	2025	2024
Ordinary rates		
Residential	5,877	5,560
Farmland	8,042	7,666
Business	1,484	1,411
Mining	23	22
Less: pensioner rebates (mandatory)	(303)	(328)
Rates levied to ratepayers	15,123	14,331
Pensioner rate subsidies received	170	184
Total ordinary rates	15,293	14,515
Annual charges (pursuant to s496, 496A, 496B, 501 & 611)		
Domestic waste management services	2,965	2,807
Stormwater management services	122	122
Water supply services	3,910	3,705
Waste management services (non-domestic)	55	53
Section 611 charges	8	—
Sewerage services	5,227	5,084
Recycling	324	307
Greenwaste	312	279
Less: pensioner rebates (mandatory)	(396)	(385)
Annual charges levied	12,527	11,972
Pensioner annual charges subsidies received:		
– Water	72	73
– Sewerage	60	61
– Domestic waste management	90	82
Total annual charges	12,749	12,188
Total rates and annual charges	28,042	26,703

Council has used 2022 year valuations provided by the NSW Valuer General in calculating its rates.

Material accounting policy information

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

\$ '000	2025	2024
Specific user charges (per s502 - specific 'actual use' charges)		
Waste management services (non-domestic)	58	75
Water supply services	6,517	5,457
Total specific user charges	6,575	5,532
Other user charges and fees		
(i) Fees and charges – statutory and regulatory functions (per s608)		
Inspection services	150	134
Planning and building regulation	636	586
Private works – section 67	268	203
Regulatory/ statutory fees	8	11
Section 149 certificates (EPA Act)	78	62
Section 603 certificates	85	57
Town planning	5	2
Animal	12	9
Total fees and charges – statutory/regulatory	1,242	1,064
(ii) Fees and charges – other (incl. general user charges (per s608))		
Cemeteries	414	356
Waste disposal tipping fees	1,218	1,032
Caravan park	197	150
Gravel pits	–	21
Leaseback fees – Council vehicles / Rental Properties	94	100
Library and art gallery	5	4
Park rents	46	38
Transport for NSW works (state roads not controlled by Council)	6,869	8,521
Swimming centres	75	68
Water connection fees	64	106
Truckwash	7	9
Sewer plan fees	39	35
Sewer connection fees	16	41
Other	89	98
Total fees and charges – other	9,133	10,579
Total other user charges and fees	10,375	11,643
Total user charges and fees	16,950	17,175
Timing of revenue recognition for user charges and fees		
User charges and fees recognised over time	2,512	2,920
User charges and fees recognised at a point in time	14,438	14,255
Total user charges and fees	16,950	17,175

Material accounting policy information

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenues

\$ '000	2025	2024
Fines – parking	15	–
Fines – other	16	7
Legal fees recovery – rates and charges (extra charges)	140	196
Commissions and agency fees	–	67
Diesel rebate	216	215
Insurance claims recoveries	–	252
Legal fees recovery – other	4	27
Sales – general	194	142
Other	4	6
Insurance incentives and rebates	124	10
Sale of scrap metal	16	31
Events committees	200	194
Sale of garbage bins	28	21
Worker health and safety incentives	64	59
Workers compensation reimbursement	328	218
De-recognition of remediation provision	165	–
Total other revenue	1,514	1,445

Timing of revenue recognition for other revenue

Other revenue recognised at a point in time	1,514	1,445
Total other revenue	1,514	1,445

Material accounting policy information for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

\$ '000	Operating 2025	Operating 2024	Capital 2025	Capital 2024
General purpose grants and non-developer contributions (untied)				
General purpose (untied)				
Current year allocation				
Financial assistance – general component	1,106	296	–	–
Financial assistance – local roads component	570	159	–	–
Payment in advance - future year allocation				
Financial assistance – local roads component	1,939	3,124	–	–
Financial assistance – general component	3,690	5,953	–	–
Amount recognised as income during current year	7,305	9,532	–	–
Special purpose grants and non-developer contributions (tied)				
Cash contributions				
Previously specific grants:				
Floodplain management	–	–	270	–
Library – special projects	–	–	50	175
Recreation and culture	100	300	1	2,490
Storm/flood damage	–	422	3,856	3,163
Bushfire and emergency services	529	341	105	238
Employment and training programs	9	44	–	–
Heritage and cultural	5	13	–	–
Library – per capita	69	97	–	–
LIRS subsidy	7	21	–	–
Noxious weeds	139	126	–	10
Street lighting	94	222	–	–
Transport (other roads and bridges funding)	–	–	5,548	4,179
Youth services	60	25	–	–
Stronger Community Funds	–	–	1,226	2,450
Regional roads repair program	–	–	959	3,151
Roads to recovery	–	–	4,952	3,057
Other specific grants	55	19	63	340
Previously contributions:				
Other councils – joint works/services	2,159	2,264	–	–
Roads and bridges	–	–	1,791	619
Other contributions	54	94	–	–
Transport for NSW contributions (regional roads, block grant)	4,540	3,790	353	439
Water supplies (excl. section 64 contributions)	178	278	50	100
Waste	99	–	–	–
Total special purpose grants and non-developer contributions (tied)	8,097	8,056	19,224	20,411
Total grants and non-developer contributions	15,402	17,588	19,224	20,411
Comprising:				
– Commonwealth funding	7,315	9,532	4,952	3,058
– State funding	7,900	7,925	12,461	17,255
– Other funding	187	131	1,811	98
	15,402	17,588	19,224	20,411

B2-4 Grants and contributions (continued)

Developer contributions

\$ '000	Notes	Operating 2025	Operating 2024	Capital 2025	Capital 2024
Developer contributions:					
(s7.4 & s7.11 - EP&A Act, s64 of the LGA):					
	G4				
S 7.11 – contributions towards amenities/services		76	73	286	208
S 64 – sewerage service contributions		–	–	249	212
S 7.4 – contributions using planning agreements		–	–	547	299
S 7.12 – fixed development consent levies		–	–	399	170
S 64 – water supply contributions		–	–	280	226
Total contributions		76	73	1,761	1,115
Total grants and contributions		15,478	17,661	20,985	21,526
Timing of revenue recognition					
Grants and contributions recognised over time		3,164	4,399	19,061	19,529
Grants and contributions recognised at a point in time		12,314	13,262	1,924	1,997
Total grants and contributions		15,478	17,661	20,985	21,526

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

\$ '000	Operating 2025	Operating 2024	Capital 2025	Capital 2024
Grants				
Unspent funds at 1 July	92	137	–	–
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	45	76	–	–
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(58)	(121)	–	–
Unspent funds at 30 June	79	92	–	–
Contributions				
Unspent funds at 1 July	–	–	6,397	5,579
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	–	–	2,175	1,469
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	–	–	(219)	(651)
Unspent funds at 30 June	–	–	8,353	6,397

Council has contributions under S7.11 and S7.12 that will be spent in the future in accordance with Council's adopted contributions plan.

Material accounting policy information

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement but include the provision of road and recreation assets. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

B2-4 Grants and contributions (continued)

Developer contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979* (EP&A Act).

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but Council may apply contributions according to the priorities established in work schedules for the contribution plan.

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

\$ '000	2025	2024
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	443	384
– Cash and investments	2,504	2,740
Total interest and investment income (losses)	2,947	3,124

B2-6 Other income

Rental income

Other lease income

Room/Facility Hire	724	705
Total other income	724	705

B3 Costs of providing services

B3-1 Employee benefits and on-costs

\$ '000	2025	2024
Salaries and wages	18,464	16,768
Travel expenses	29	29
Employee leave entitlements (ELE)	3,185	2,781
Superannuation	2,344	2,047
Workers' compensation insurance	2,144	1,566
Fringe benefit tax (FBT)	90	90
Payroll tax	163	150
Training costs (other than salaries and wages)	430	358
Protective clothing	57	65
WH&S expenses	12	16
Other	97	266
Total employee costs	27,015	24,136
Less: capitalised costs	(3,068)	(2,434)
Total employee costs expensed	23,947	21,702
Number of 'full-time equivalent' employees (FTE) at year end	230	222

Material accounting policy information

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

\$ '000	Notes	2025	2024
Raw materials and consumables		2,362	2,454
Contractor costs		8,074	8,253
– RTA works		1,693	2,290
– Private works		–	169
– Security services		37	37
– IT support services		155	115
– Town planning		80	83
– Regional landfill receival charges		1,535	1,737
– Waste haulage		1,850	1,819
Audit Fees	F2-1	267	245
Advertising		92	85
Bank charges		86	85
Cost of sales		76	64
Computer software charges		65	83
Election expenses		188	–
Electricity and heating		888	955
Insurance		1,777	1,542
Office expenses (including computer expenses)		–	1
Postage		98	88
Printing and stationery		88	85
Street lighting		259	260
Subscriptions and publications		214	235
Telephone and communications		280	278
Other expenses		377	467
Councillor and Mayoral fees and associated expenses	F1-2	301	258
– South Western rural fire zone		46	67
Valuation fees – land rates		111	194
Licence fees		70	104
Lease property		62	90
Promotion and trade fairs		25	40
Legal expenses:			
Expenses from short-term leases		22	22
– Legal expenses: planning and development		118	41
– Legal expenses: other		153	232
Water acquisition costs		1,357	1,067
Water purchase		4,583	3,405
Total materials and services		27,389	26,950

B3-3 Borrowing costs

\$ '000	Notes	2025	2024
(i) Interest bearing liability costs			
Interest on leases		–	1
Interest on loans		399	425
Total interest bearing liability costs expensed		399	426
(ii) Other borrowing costs			
Discount adjustments relating to movements in provisions (other than ELE)			
– Remediation liabilities	C3-5	685	511
Total borrowing costs expensed		1,084	937

B3-4 Depreciation, amortisation and impairment of non-financial assets

Depreciation and amortisation

Plant and equipment		2,597	2,308
Office equipment		201	163
Furniture and fittings		23	24
Land improvements (depreciable)		43	44
Infrastructure:	C1-7		
– Buildings		4,877	4,808
– Other structures		292	567
– Roads		9,473	8,715
– Bridges		918	810
– Footpaths		203	172
– Stormwater drainage		402	364
– Water supply network		1,576	1,506
– Sewerage network		1,684	1,549
– Swimming pools		498	319
– Other open space/recreational assets		780	473
Right of use assets	C2-1	22	21
Other assets:			
– Library books		32	51
Reinstatement, rehabilitation and restoration assets:			
– Tip assets	C3-5, C1-7	460	460
– Quarry assets	C3-5, C1-7	80	80
Total depreciation, amortisation and impairment for non-financial assets		24,161	22,434

B3-4 Depreciation, amortisation and impairment of non-financial assets (continued)

Material accounting policy information

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-7 for IPPE assets.

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are not tested for impairment since these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Other non-financial assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units).

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

B3-5 Other expenses

\$ '000	Notes	2025	2024
Impairment of receivables			
Rates and annual charges		–	1
User charges and fees		12	14
Total impairment of receivables	C1-4	12	15
Other			
Contributions/levies to other levels of government			
– Emergency services levy (includes FRNSW, SES, and RFS levies)		981	932
– Other contributions/levies		323	5
Donations, contributions and assistance to other organisations (Section 356)		46	65
– ROC membership		27	29
– Shires Association		48	51
Total other		1,425	1,082
Total other expenses		1,437	1,097

B4 Gains or losses

B4-1 Gain or loss from the disposal, replacement and de-recognition of assets

\$ '000	Notes	2025	2024
Gain (or loss) on disposal of plant and equipment			
Proceeds from disposal – plant and equipment	C1-7	898	843
Less: carrying amount of plant and equipment assets sold/written off		(324)	(534)
Gain (or loss) on disposal		574	309
Gain (or loss) on disposal of infrastructure			
Proceeds from disposal – infrastructure	C1-7	–	11
Less: carrying amount of infrastructure assets sold/written off		(491)	(604)
Gain (or loss) on disposal		(491)	(593)
Net gain (or loss) from disposal of assets		83	(284)

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 26 June 2024 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2025 Budget	2025 Actual	2025 ----- Variance -----	
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Revenues

Capital grants and contributions	17,462	20,985	3,523	20%	F
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Council's original budget forecast Roads to Recovery funding of \$1.8M. Year end revenue was \$4.9M, a \$3.1M increase.

Interest and investment revenue	2,209	2,947	738	33%	F
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Council budgeted conservatively for Investment revenue based on investment conditions at adoption. Interest rates improved over the year providing a better result.

Expenses

Materials and services	22,917	27,389	(4,472)	(20)%	U
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Council budgeted \$1.2M for the Roads to Recovery program and spent an additional \$3.1M to match funding. Additionally, because of the drier conditions water purchases were \$1M over original budget.

Borrowing costs	483	1,084	(601)	(124)%	U
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Council's original budget did not include discounting of remediation assets of \$685k

Statement of cash flows

Cash flows from operating activities	35,194	25,331	(9,863)	(28)%	U
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Council's budgeted capital grants were overstated by approximately \$5M and materials and services costs were also over by approximately \$4M

Cash flows from investing activities	(31,338)	(20,242)	11,096	(35)%	F
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Council's original budget includes reserve movements as part of the Investing activities. The movement in and out of reserves in the original budget was \$5M.

Cash flows from financing activities	(225)	(1,819)	(1,594)	708%	U
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Council's original budget included a proposed borrowing of \$1.6M which did not eventuate by year end.

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

\$ '000	2025	2024
Cash assets		
Cash on hand and at bank	8,185	15,757
Cash equivalent assets		
– Short-term deposits ¹	16,000	5,158
Total cash and cash equivalents	24,185	20,915

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	24,185	20,915
Balance as per the Statement of Cash Flows	24,185	20,915

C1-2 Financial investments

\$ '000	2025 Current	2024 Current
Debt securities at amortised cost		
Term deposits ¹	28,142	43,103
Total financial investments	28,142	43,103
Total cash assets, cash equivalents and investments	52,327	64,018

(1) Reclassification of cash and cash equivalents and investments. The Council's investments (specifically term deposits) were previously presented in cash and cash equivalents in the statement of financial position where their maturity was less than 3 months at 30 June. However management considers it to be more relevant to only show term deposits in cash and cash equivalents where the initial maturity is less than 3 months. Term deposits with a maturity greater than 3 months will be presented in investments, which is in line with the requirements of AASB's. The prior year comparatives have been restated accordingly.

Material accounting policy information

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

Amortised cost

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position. Term deposits with an initial term of more than 3 months are classified as investments rather than cash and cash equivalents. Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment. Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

C1-3 Restricted and allocated cash, cash equivalents and investments

\$ '000	2025	2024
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	52,327	64,018
Less: Externally restricted cash, cash equivalents and investments	(41,055)	(39,161)
Cash, cash equivalents and investments not subject to external restrictions	11,272	24,857
External restrictions		
External restrictions – included in liabilities		
External restrictions included in cash, cash equivalents and investments above comprise:		
Specific purpose unexpended loans – general	71	71
Specific purpose unexpended loans – water	216	331
Specific purpose unexpended loans – sewer	442	465
Specific purpose unexpended grants – general fund	79	92
External restrictions – included in liabilities	808	959
External restrictions – other		
External restrictions included in cash, cash equivalents and investments above comprise:		
Developer contributions – general	5,743	4,438
Developer contributions – water fund	1,858	1,491
Developer contributions – sewer fund	752	468
Water fund	18,656	17,429
Sewer fund	9,367	10,104
Stormwater management	407	656
Regional waste group	3,069	3,194
Regional fire zone	33	53
Other contributions	14	21
Other	216	216
Domestic waste management	132	132
External restrictions – other	40,247	38,202
Total external restrictions	41,055	39,161

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

C1-3 Restricted and allocated cash, cash equivalents and investments (continued)

\$ '000	2025	2024
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(b) Internal allocations**Cash, cash equivalents and investments not subject to external restrictions**

11,272	24,857
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Less: Internally restricted cash, cash equivalents and investments

(6,181)	(6,378)
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Unrestricted and unallocated cash, cash equivalents and investments

5,091	18,479
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Internal allocations

At 30 June, Council has internally allocated funds to the following:

Plant and vehicle replacement	3,501	2,679
Employees leave entitlement	2,655	2,461
Stronger Councils Funds	25	509
Quarries and pit restoration	–	729
Total internal allocations	6,181	6,378

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

\$ '000	2025	2024
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(c) Unrestricted and unallocated

Unrestricted and unallocated cash, cash equivalents and investments	5,091	18,479
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C1-4 Receivables

\$ '000	2025 Current	2025 Non-current	2024 Current	2024 Non-current
Rates and annual charges	3,519	–	3,642	–
Interest and extra charges	360	–	284	–
User charges and fees	3,175	–	3,806	–
Accrued revenues				
– Interest on investments	506	–	704	–
– Other income accruals	2,095	–	1,295	–
Deferred debtors	–	153	–	158
Net GST receivable	465	–	676	–
Other debtors	14	–	14	–
Total	10,134	153	10,421	158
Less: provision for impairment				
Rates and annual charges	(4)	–	(4)	–
User charges and fees	(164)	–	(165)	–
Total provision for impairment – receivables	(168)	–	(169)	–
Total net receivables	9,966	153	10,252	158

Material accounting policy information

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When estimating ECL, Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

When considering the ECL for rates and annual charges debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold.

Credit losses are measured at the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

Council writes off a receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

C1-5 Inventories

\$ '000	2025 Current	2025 Non-current	2024 Current	2024 Non-current
(i) Inventories at cost				
Real estate for resale	123	–	123	–
Stores and materials	1,432	–	1,593	–
Trading stock	12	–	12	–
Total inventories at cost	1,567	–	1,728	–
Total inventories	1,567	–	1,728	–

C1-6 Contract assets and Contract cost assets

\$ '000	2025 Current	2025 Non-current	2024 Current	2024 Non-current
Contract assets	6,349	–	4,209	–
Total contract assets and contract cost assets	6,349	–	4,209	–

Contract assets

Work relating to infrastructure grants	6,349	–	4,209	–
Total contract assets	6,349	–	4,209	–

Significant changes in contract assets

Council completed works on roads during the 2024/25 year and will issue invoices in the 2025/26 financial year.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2024			Asset movements during the reporting period							At 30 June 2025		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000													
Capital work in progress	4,321	–	4,321	6,917	–	–	–	(3,659)	–	–	7,579	–	7,579
Plant and equipment	28,613	(16,277)	12,336	3,956	–	(323)	(2,597)	86	–	–	29,851	(16,393)	13,458
Office equipment	1,361	(664)	697	117	49	–	(201)	–	–	–	1,527	(865)	662
Furniture and fittings	442	(280)	162	–	–	–	(23)	–	–	–	442	(303)	139
Land:													
– Operational land	9,099	–	9,099	–	–	–	–	–	–	–	9,099	–	9,099
– Community land	13,269	–	13,269	–	–	–	–	–	–	–	13,269	–	13,269
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	1,326	(161)	1,165	–	379	–	(43)	2,590	–	–	4,296	(205)	4,091
Infrastructure:													
– Buildings	165,103	(84,074)	81,029	672	105	–	(4,877)	–	–	2,066	170,090	(91,095)	78,995
– Other structures	10,228	(3,503)	6,725	–	165	–	(292)	–	–	171	10,654	(3,885)	6,769
– Roads	546,558	(199,216)	347,342	16,234	–	–	(9,473)	50	(28)	(6,628)	559,339	(211,842)	347,497
– Bridges	92,566	(36,466)	56,100	1,758	–	–	(918)	620	–	15,104	103,193	(30,529)	72,664
– Footpaths	15,147	(4,317)	10,830	–	191	–	(203)	–	–	917	16,717	(4,982)	11,735
– Bulk earthworks (non-depreciable)	156,261	–	156,261	–	–	–	–	–	–	(12,963)	143,298	–	143,298
– Stormwater drainage	36,092	(21,040)	15,052	193	1,193	–	(402)	–	–	13,004	72,934	(43,894)	29,040
– Water supply network	110,254	(61,244)	49,010	1,324	372	(20)	(1,576)	9	–	1,225	114,506	(64,162)	50,344
– Sewerage network	100,762	(50,312)	50,450	1,563	134	–	(1,684)	–	–	1,262	104,979	(53,254)	51,725
– Swimming pools	13,679	(5,338)	8,341	763	–	(470)	(498)	304	–	214	14,588	(5,934)	8,654
– Other open space/recreational assets	26,535	(7,384)	19,151	–	19	–	(780)	–	–	489	27,232	(8,353)	18,879
– Other Transport assets	–	–	–	–	–	–	–	–	28	9,439	14,285	(4,818)	9,467
Other assets:													
– Library books	162	(101)	61	–	–	–	(32)	–	–	–	162	(133)	29
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Quarry assets	1,127	(581)	546	–	–	–	(80)	–	–	–	1,127	(661)	466
– Tip assets	4,423	(2,291)	2,132	–	–	–	(460)	–	–	–	4,423	(2,751)	1,672
Total infrastructure, property, plant and equipment	1,337,399	(493,249)	844,150	33,497	2,607	(813)	(24,139)	–	–	24,300	1,423,661	(544,059)	879,602

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2023			Asset movements during the reporting period								At 30 June 2024		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Impairment Loss/Revaluation decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000														
Capital work in progress	10,245	–	10,245	–	3,870	–	–	(9,794)	–	–	–	4,321	–	4,321
Plant and equipment	26,455	(15,605)	10,850	4,279	49	(534)	(2,308)	–	–	–	–	28,613	(16,277)	12,336
Office equipment	1,117	(501)	616	87	157	–	(163)	–	–	–	–	1,361	(664)	697
Furniture and fittings	442	(256)	186	–	–	–	(24)	–	–	–	–	442	(280)	162
Land:														
– Operational land	8,749	–	8,749	–	20	–	–	–	–	–	330	9,099	–	9,099
– Community land	13,269	–	13,269	–	–	–	–	–	–	–	–	13,269	–	13,269
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	1,326	(117)	1,209	–	–	–	(44)	–	–	–	–	1,326	(161)	1,165
Infrastructure:														
– Buildings	153,171	(73,226)	79,945	120	320	–	(4,808)	57	556	–	4,839	165,103	(84,074)	81,029
– Other structures	16,709	(5,227)	11,482	–	–	–	(567)	–	(4,577)	–	386	10,228	(3,503)	6,725
– Roads	507,276	(182,232)	325,044	15,325	–	(20)	(8,715)	–	1,138	(861)	15,432	546,558	(199,216)	347,342
– Bridges	81,774	(34,871)	46,903	775	–	(583)	(810)	7,652	–	–	2,163	92,566	(36,466)	56,100
– Footpaths	12,847	(3,485)	9,362	264	–	–	(172)	–	861	–	515	15,147	(4,317)	10,830
– Bulk earthworks (non-depreciable)	149,318	–	149,318	–	–	–	–	–	–	–	6,943	156,261	–	156,261
– Stormwater drainage	33,257	(19,612)	13,645	1,041	–	–	(364)	–	83	–	648	36,092	(21,040)	15,052
– Water supply network	103,319	(56,856)	46,463	1,246	425	–	(1,506)	26	–	–	2,356	110,254	(61,244)	49,010
– Sewerage network	95,640	(46,411)	49,229	233	32	–	(1,549)	8	–	–	2,496	100,762	(50,312)	50,450
– Swimming pools	16,340	(5,982)	10,358	1,411	–	–	(319)	234	(406)	(2,937)	–	13,679	(5,338)	8,341
– Other open space/recreational assets	18,902	(7,111)	11,791	363	1,182	–	(473)	1,817	2,345	–	2,126	26,535	(7,384)	19,151
Other assets:														
– Library books	255	(143)	112	–	–	–	(51)	–	–	–	–	162	(101)	61
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):														
– Quarry assets	1,127	(501)	626	–	–	–	(80)	–	–	–	–	1,127	(581)	546
– Tip assets	4,423	(1,831)	2,592	–	–	–	(460)	–	–	–	–	4,423	(2,291)	2,132
Total infrastructure, property, plant and equipment	1,256,032	(453,967)	802,065	25,144	6,055	(1,137)	(22,413)	–	–	(3,798)	38,234	1,337,399	(493,249)	844,150

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

Material accounting policy information

ASSET POLICY

Infrastructure, property, plant and equipment

Council's non-current assets are continually revalued (over a 5-year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their fair value:

- **Operational land**
(External Valuation as at 30/6/23 and management assessment 30/6/24 and 30/6/25)
- **Buildings**
(External Valuation as at 30/6/23 and management assessment 30/6/24 and 30/6/25)
- **Plant and equipment**
(Fair Value approximated by depreciated historical cost)
- **Roads assets including kerb and guttering**
(External Valuation as at 30/6/25)
- **Bridges**
(External Valuation as at 30/6/25)
- **Footpaths**
(External Valuation as at 30/6/25)
- **Bulk earthworks**
(External Valuation as at 30/6/25)
- **Stormwater drainage**
(External Valuation as at 30/6/25)
- **Other Transport assets**
(External Valuation as at 30/6/25)
- **Community land**
(External Valuation as at 30/6/23)
- **Land improvements**
(External Valuation as at 30/6/23)
- **Water supply network**
(Internal Valuation as at 30/6/22 and indexation to 30/6/25)
- **Sewer network**
(Internal Valuation as at 30/6/22 and indexation to 30/6/25)
- **Open space recreation**
(External Valuation as at 30/6/24 and indexation to 30/6/25)
- **Swimming pools**
(External Valuation as at 30/6/24 and indexation to 30/6/25)
- **Other structures**
(External Valuation as at 30/6/24 and indexation to 30/6/25)
- **Library books**
(Fair Value approximated by depreciated historical cost)
- **Office equipment furniture & fittings**
(Fair Value approximated by depreciated historical cost)
- **Reinstatements - tips and quarries**
(External valuation 30/6/24)

C1-7 Infrastructure, property, plant and equipment (continued)

Initial recognition

Infrastructure, property, plant and equipment is measured initially at cost. Cost includes the fair value of the consideration given to acquire the asset (net of discounts and rebates) and any directly attributable cost of bringing the asset to working condition for its intended use (inclusive of import duties and taxes).

When infrastructure, property, plant and equipment is acquired by Council at significantly below fair value, the assets are initially recognised at their fair value at acquisition date.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Income Statement during the financial period in which they are incurred.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

This is a line break

Asset revaluations (including indexation)

In accounting for asset revaluations relating to infrastructure, property, plant and equipment:

- increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve,
- to the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss,
- net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income Statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided by Department of Climate Change, Energy, the Environment and Water (DCCEEW). A complete internal valuation was completed at 30 June 2022.

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount.

Full revaluations are undertaken for all assets on a 5-year cycle.

Capitalisation thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following;

Land

- Operational land	100% Capitalised
- Community land	100% Capitalised
- Open space	100% Capitalised
- Land under roads (purchases after 30/6/08)	100% Capitalised
- Land Improvement	> \$5,000

Plant and Equipment

Plant & Equipment	> \$5,000
Office Furniture	> \$5,000
Office Equipment	> \$5,000

Building

- Buildings Specialised	> \$10,000
- Buildings Non-Specialised	> \$10,000
- Buildings Other	> \$5,000

Water Supply Network

Reticulation extensions	> \$5,000
Other	> \$5,000

C1-7 Infrastructure, property, plant and equipment (continued)

Sewer Network

Reticulation extensions	> \$5,000
Other	> \$5,000

Stormwater Assets

Drains and Culverts	> \$5,000
Other	> \$5,000

Road Assets

Road construction and reconstruction	> \$10,000
Bridge construction and reconstruction	> \$10,000
Footpaths	> \$5,000
Kerb & Gutter	> \$5,000

Other Infrastructure Assets

Swimming Pools	> \$5,000
Open Space/Recreational Assets	> \$5,000
Other Structures	> \$5,000

Remediation - Quarries & Tips

Library Books	> \$5,000
- Books & Equipment	> \$5,000

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight-line method in order to allocate an asset's cost over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's infrastructure, property, plant and equipment include:

Plant and Equipment

- Office Equipment	4 to 20 years
- Office furniture	4 to 25 years
- Computer Equipment	4 years
- Light Vehicles	4 to 10 years
- Heavy Plant/Road Making equip.	5 to 10 years
- Other plant and equipment	5 to 20 years

Other Equipment

- Playground equipment	10 to 80 years
- Benches, seats etc	10 to 20 years

Buildings

- Buildings Specialised	20 to 110 years
- Buildings Non-Specialised	20 to 100 years
- Buildings Other	20 to 100 years

Stormwater Drainage

- Drains	80 to 100 years
- Culverts	80 to 100 years

Road Assets

- Sealed Roads: Surface	20 to 100 years
- Sealed Roads: Structure	20 to 100 years
- Bridge: Concrete	70 to 100 years
- Footpaths	15 to 80 years
- Kerb & Gutter	50 to 100 years
- Bulk earthworks	Not Depreciated

Water and Sewer Assets

- Dams and reservoirs	20 to 100 years
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C1-7 Infrastructure, property, plant and equipment (continued)

- Reticulation pipes	6 to 135 years
- Pumps and telemetry	13 to 80 years
Other Infrastructure Assets	
- Bulk earthworks	Not Depreciated
- Swimming Pools	5 to 80 years
- Open Space Recreational Assets	5 to 100 years
- Other Structures	10 to 100 years
Quarries & Tips	
	3 to 7 Years
Library Books	
- Books & Equipment	5 Years

All asset values and useful lives are reviewed and adjusted (if appropriate) at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Disposal and derecognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

Land

Land (other than land under roads) is in accordance with Part 2 of Chapter 6 of the *Local Government Act (1993)* classified as either operational or community.

Land under roads

Land under roads is land under roadways and road reserves, including land under footpaths, nature strips and median strips. Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Where an asset is not held principally for cash-generating purposes (for example infrastructure assets) and would be replaced if the Council was deprived of it, then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

C1-8 Other

Other assets

\$ '000	2025	2025	2024	2024
	Current	Non-current	Current	Non-current
Prepayments	145	–	–	–
Total other assets	145	–	–	–

C2 Leasing activities

C2-1 Council as a lessee

Council has a lease over photocopiers in the asset class office equipment. Information relating to the leases in place and associated balances and transactions is provided below.

Office and IT equipment

Leases for office and IT equipment are generally for low value assets, except for significant items such as photocopiers. The leases are for between 3 and 8 years with no renewal option, the payments are fixed, however some of the leases include variable payments based on usage.

(a) Right of use assets

\$ '000	Plant & Equipment	Office Equipment	Total
2025			
Opening balance at 1 July	–	28	28
Depreciation charge	–	(22)	(22)
Balance at 30 June	–	6	6
2024			
Opening balance at 1 July	–	49	49
Depreciation charge	–	(21)	(21)
Balance at 30 June	–	28	28

(b) Lease liabilities

\$ '000	2025 Current	2025 Non-current	2024 Current	2024 Non-current
Lease liabilities	7	–	22	7
Total lease liabilities	7	–	22	7

(c) (i) The maturity analysis

The maturity analysis of lease liabilities based on contractual undiscounted cash flows is shown in the table below:

\$ '000	< 1 year	1 – 5 years	> 5 years	Total	Total per Statement of Financial Position
2025					
Cash flows	22	–	–	22	7
2024					
Cash flows	21	8	–	29	29

C2-1 Council as a lessee (continued)

(d) Income Statement

The amounts recognised in the Income Statement relating to leases where Council is a lessee are shown below:

\$ '000	2025	2024
Interest on lease liabilities	–	1
Depreciation of right of use assets	22	21
Expenses relating to short-term leases	22	22
	44	44

(e) Statement of Cash Flows

Total cash outflow for leases	(44)	(44)
	(44)	(44)

C2-2 Council as a lessor

Operating leases

Council leases out a number of properties and /or plant and equipment to community groups; these leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E (refer in this note part (v) below) in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

\$ '000	2025	2024
(i) Assets held as property, plant and equipment		
Council provides operating leases on Council buildings for the purpose of commercial occupation, the table below relates to operating leases on assets disclosed in C1-7.		
Lease income (excluding variable lease payments not dependent on an index or rate)	724	705
Total income relating to operating leases for Council assets	724	705

C3 Liabilities of Council

C3-1 Payables

\$ '000	2025 Current	2025 Non-current	2024 Current	2024 Non-current
Payables				
Goods and services	914	–	901	–
Accrued expenses:				
– Borrowings	33	–	25	–
– Salaries and wages	530	–	403	–
– Other expenditure accruals	1,139	117	1,906	85
Funds held for Section 355 Committees	139	–	139	–
Security bonds, deposits and retentions	1,061	–	1,043	–
Sale of Land Deposits	618	–	399	–
ATO – net GST payable	153	–	41	–
Government departments and agencies	22	–	8	–
Other	113	–	111	–
Total payables	4,722	117	4,976	85
Total payables	4,722	117	4,976	85

Current payables not anticipated to be settled within the next twelve months

\$ '000	2025	2024
The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.		
Payables – security bonds, deposits and retentions	675	750
Total payables	675	750

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

\$ '000	Notes	2025 Current	2025 Non-current	2024 Current	2024 Non-current
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	7,407	–	13,718	–
Total grants received in advance		7,407	–	13,718	–
User fees and charges received in advance:					
Other		1,254	–	1,213	–
Total user fees and charges received in advance		1,254	–	1,213	–
Total contract liabilities		8,661	–	14,931	–

Notes

(i) Council has received funding to construct assets including sporting facilities, bridges, and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

Revenue recognised that was included in the contract liability balance at the beginning of the period

\$ '000	2025	2024
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	6,549	7,291
Total revenue recognised that was included in the contract liability balance at the beginning of the period	6,549	7,291

Significant changes in contract liabilities

Council received additional grant funding under the Regional Emergency Road Repair Fund which could not be spent during the current year.

C3-3 Borrowings

\$ '000	2025 Current	2025 Non-current	2024 Current	2024 Non-current
Loans – secured ¹	1,504	8,575	1,516	10,360
Total borrowings	1,504	8,575	1,516	10,360

(1) Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

(a) Changes in liabilities arising from financing activities

\$ '000	2024		Non-cash movements				2025
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	11,876	(1,797)	–	–	–	–	10,079
Lease liability (Note C2-1)	29	(22)	–	–	–	–	7
Total liabilities from financing activities	11,905	(1,819)	–	–	–	–	10,086

\$ '000	2023		Non-cash movements				2024
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	13,677	(1,801)	–	–	–	–	11,876
Lease liability (Note C2-1)	50	(21)	–	–	–	–	29
Total liabilities from financing activities	13,727	(1,822)	–	–	–	–	11,905

(b) Financing arrangements

\$ '000	2025	2024
Total facilities		
Total financing facilities available to Council at the reporting date are:		
Bank overdraft facilities ¹	480	480
Credit cards/purchase cards	100	100
Total financing arrangements	580	580

C3-3 Borrowings (continued)

\$ '000	2025	2024
Drawn facilities		
Financing facilities drawn down at the reporting date are:		
– Credit cards/purchase cards	87	28
Total drawn financing arrangements	87	28
Undrawn facilities		
Undrawn financing facilities available to Council at the reporting date are:		
– Bank overdraft facilities	480	480
– Credit cards/purchase cards	13	72
Total undrawn financing arrangements	493	552

(1) The bank overdraft facility may be drawn at any time and may be terminated by the bank without notice.

Breaches and Defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

Security over Loans

Loans are secured over the General rating Income of Council.

Lease liabilities are secured by the underlying leased assets.

Covenants

Council has a loan with NSW Treasury Corporation with a current outstanding balance of \$4.486 Million. The loan has the following covenants.

The annual General Purpose Financial Statements and Long-Term Financial Plan must confirm that Council's financial position meets or exceeds the following benchmarks:

- Cash Expense Ratio - to be equal to or greater than two months

Definition: Current year's cash and cash equivalents (and current term deposits) ÷ (total expenses - depreciation - interest costs) x 12

- Debt Service Cover Ratio (DSCR) - to be equal to or greater than 1.5 times

Definition: Operating result before interest and depreciation (EB/TOA) ÷ principal and interest repayments

- Interest Cover Ratio - to be equal to or greater than 3.0 times

Definition: EB/TOA ÷ interest expense

Council currently complies with these requirements and expects to comply in the future.

C3-4 Employee benefit provisions

	2025	2025	2024	2024
\$ '000	Current	Non-current	Current	Non-current
Annual leave	2,348	–	2,114	–
Sick leave	585	–	575	–
Long service leave	2,771	1,492	2,678	1,442
RDO leave	152	–	181	–
Total employee benefit provisions	5,856	1,492	5,548	1,442

Current employee benefit provisions not anticipated to be settled within the next twelve months

\$ '000	2025	2024
The following provisions, even though classified as current, are not expected to be settled in the next 12 months.		
Provisions – employees benefits	4,075	3,889
	4,075	3,889

Material accounting policy information

Long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

C3-5 Provisions

\$ '000	2025 Current	2025 Non-Current	2024 Current	2024 Non-Current
Asset remediation/restoration:				
Asset remediation/restoration (future works)	11,713	5,754	8,028	8,919
Total provisions	11,713	5,754	8,028	8,919

Description of and movements in provisions

\$ '000	Other provisions	
	Asset remediation	Total
2025		
At beginning of year	16,947	16,947
Unwinding of discount	685	685
Effect of De-Recognition or provision	(165)	(165)
Total other provisions at end of year	17,467	17,467
2024		
At beginning of year	16,436	16,436
Unwinding of discount	511	511
Effect of De-Recognition or provision	—	—
Total other provisions at end of year	16,947	16,947

Material accounting policy information

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as a borrowing cost.

Asset remediation – tips and quarries

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs. Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

The ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are reflected in movements to the asset revaluation reserve.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation Surplus

The infrastructure, property, plant and equipment (IPPE) revaluation surplus is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water, sewer, South West Rural Fire Zone and South West Regional Waste Management. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer and other columns are restricted for use for these activities.

D1-1 Income Statement by fund

\$ '000	Other * 2025	General 2025	Water 2025	Sewer 2025
Income from continuing operations				
Rates and annual charges	–	19,068	3,854	5,120
User charges and fees	–	9,666	7,166	118
Interest and investment revenue	199	574	1,442	732
Other revenues	–	1,514	–	–
Grants and contributions provided for operating purposes	2,204	13,096	178	–
Grants and contributions provided for capital purposes	–	20,407	330	248
Net gains from disposal of assets	31	52	–	–
Other income	–	724	–	–
Total income from continuing operations	2,434	65,101	12,970	6,218
Expenses from continuing operations				
Employee benefits and on-costs	129	22,091	1,128	599
Materials and services	1,680	15,613	8,176	1,920
Borrowing costs	118	604	32	330
Other expenses	–	1,426	11	–
Net losses from the disposal of assets	–	(20)	20	–
Total expenses from continuing operations excluding depreciation, amortisation and impairment of non-financial assets	1,927	39,714	9,367	2,849
Operating result from continuing operations excluding depreciation, amortisation and impairment of non-financial assets	507	25,387	3,603	3,369
Depreciation, amortisation and impairment of non-financial assets	174	20,641	1,616	1,730
Operating result from continuing operations	333	4,746	1,987	1,639
Net operating result for the year	333	4,746	1,987	1,639
Net operating result attributable to each council fund	333	4,746	1,987	1,639
Net operating result for the year before grants and contributions provided for capital purposes	333	(15,661)	1,657	1,391

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

D1-2 Statement of Financial Position by fund

\$ '000	Other 2025	General 2025	Water 2025	Sewer 2025
ASSETS				
Current assets				
Cash and Investments	—	18,048	3,281	2,856
Investments	3,102	(114)	17,449	7,705
Receivables	229	5,957	2,874	906
Inventories	—	1,567	—	—
Contract assets and contract cost assets	—	6,233	116	—
Other	—	145	—	—
Total current assets	3,331	31,836	23,720	11,467
Non-current assets				
Receivables	—	25	127	1
Infrastructure, property, plant and equipment	4,723	767,787	51,053	56,039
Right of use assets	—	6	—	—
Total non-current assets	4,723	767,818	51,180	56,040
Total assets	8,054	799,654	74,900	67,507
LIABILITIES				
Current liabilities				
Payables	3	4,254	395	70
Contract liabilities	—	8,661	—	—
Lease liabilities	—	7	—	—
Borrowings	—	392	358	754
Employee benefit provision	—	5,496	235	125
Provisions	—	11,713	—	—
Total current liabilities	3	30,523	988	949
Non-current liabilities				
Payables	—	117	—	—
Borrowings	—	781	1,489	6,305
Employee benefit provision	—	1,492	—	—
Provisions	2,201	3,553	—	—
Total non-current liabilities	2,201	5,943	1,489	6,305
Total liabilities	2,204	36,466	2,477	7,254
Net assets	5,850	763,188	72,423	60,253
EQUITY				
Accumulated surplus	5,830	530,848	63,747	47,325
IPPE revaluation surplus	20	232,340	8,676	12,928
Council equity interest	5,850	763,188	72,423	60,253
Total equity	5,850	763,188	72,423	60,253

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

The fair value of Council's financial assets and financial liabilities approximates their carrying amount.

(a) Market risk – interest rate and price risk

\$ '000	2025	2024
The impact on the result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	441	431

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

\$ '000	Not yet overdue	overdue rates and annual charges		Total
		< 5 years	≥ 5 years	
2025				
Gross carrying amount	84	3,318	117	3,519
2024				
Gross carrying amount	162	3,294	186	3,642

Receivables - non-rates and annual charges and contract assets

Council applies the simplified approach for non-rates and annual charges debtors and contract assets to provide for expected credit losses, which permits the use of the lifetime expected loss provision at inception. To measure the expected credit losses,

continued on next page ...

E1-1 Risks relating to financial instruments held (continued)

non-rates and annual charges debtors and contract assets have been grouped based on shared credit risk characteristics and the days past due.

The loss allowance provision is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	Overdue debts				Total
		0 - 30 days	31 - 60 days	61 - 90 days	> 91 days	
2025						
Gross carrying amount	10,963	623	57	254	1,220	13,117
Expected loss rate (%)	0.00%	0.00%	10.00%	11.00%	11.00%	1.28%
ECL provision	—	—	6	28	134	168
2024						
Gross carrying amount	8,861	85	447	1,022	731	11,146
Expected loss rate (%)	0.00%	0.00%	6.00%	8.70%	6.70%	1.48%
ECL provision	—	—	27	89	49	165

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total contractu al cash flows	Actual carrying values
\$ '000							
2025							
Payables	0.00%	1,061	3,661	117	–	4,839	4,839
Borrowings	3.60%	–	1,504	5,573	3,002	10,079	10,079
Total financial liabilities		1,061	5,165	5,690	3,002	14,918	14,918
2024							
Payables	0.00%	1,043	3,933	85	–	5,061	5,061
Borrowings	3.60%	–	1,517	5,317	5,042	11,876	11,876
Total financial liabilities		1,043	5,450	5,402	5,042	16,937	16,937

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

– Infrastructure, property, plant and equipment

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value measurement hierarchy									
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2025	2024	2025	2024	2025	2024	2025	2024
Recurring fair value measurements									
Infrastructure, property, plant and equipment	C1-7								
Plant & Equipment		30/06/25	30/06/24	—	—	13,458	12,336	13,458	12,336
Office Equipment, Furniture & Fittings		30/06/25	30/06/24	—	—	801	859	801	859
Operational Land		30/06/24	30/06/24	9,099	9,099	—	—	9,099	9,099
Community Land		30/06/24	30/06/24	—	—	13,269	13,269	13,269	13,269
Land Improvements		30/06/24	30/06/24	—	—	4,758	1,236	4,758	1,236
Buildings		30/06/23	30/06/23	—	—	78,995	81,029	78,995	81,029
Other structures		30/06/24	30/06/24	—	—	6,769	6,725	6,769	6,725
Roads		30/06/25	30/06/24	—	—	347,497	347,342	347,497	347,342
Bridges		30/06/25	30/06/24	—	—	72,664	56,100	72,664	56,100
Footpaths		30/06/25	30/06/24	—	—	11,734	10,830	11,734	10,830
Bulk Earthworks		30/06/25	30/06/24	—	—	143,298	156,261	143,298	156,261
Stormwater Drainage		30/06/25	30/06/24	—	—	29,041	15,052	29,041	15,052
Other transport assets		30/06/25		—	—	9,467	—	9,467	—
Water Supply Network		30/06/25	30/06/24	—	—	50,344	49,010	50,344	49,010
Sewer Network		30/06/25	30/06/24	—	—	51,725	50,450	51,725	50,450
Swimming Pools		30/06/24	30/06/24	—	—	8,653	8,341	8,653	8,341
Other Open Space & Recreational Assets		30/06/24	30/06/24	—	—	18,880	19,152	18,880	19,152
Library Books		30/06/25	30/06/24	—	—	29	61	29	61
Reinstatements		30/06/25	30/06/24	—	—	2,139	2,678	2,139	2,678
Total infrastructure, property, plant and equipment				9,099	9,099	863,521	830,731	872,620	839,830

Non-recurring fair value measurements

Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

E2-1 Fair value measurement (continued)

Fair value measurements using significant unobservable inputs (level 3)

Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

	Valuation technique/s	Unobservable inputs
Infrastructure, property, plant and equipment		
Plant and equipment	Cost approach	Gross Replacement cost, useful life, residual value
Office equipment	Cost approach	Gross Replacement cost, useful life, residual value
Community land	Market approach - values from Valuer General	Land Value, Land area
Land improvements	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Buildings	Cost approach	Cost per sq metre, consumption rate. Condition, useful life
Other structures	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Roads	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Bridges	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Footpaths	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Bulk earthworks	Cost approach	Cost per sq Metre
Stormwater drainage	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Other transport assets	Cost Approach	Unit cost rates, asset condition, remaining life, residual value
Water supply network	Cost approach	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage network	Cost approach	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming pool	Cost approach	Cost per unit

A reconciliation of the movements in recurring fair value measurements allocated to Level 3 of the hierarchy by class of assets is provided below:

\$ '000	IPP & E	
	2025	2024
Opening balance	830,731	783,072
Purchases (GBV)	33,444	37,103
Disposals (WDV)	(815)	(1,137)
Depreciation and impairment	(24,139)	(22,413)
Fair value changes	24,300	34,106
Closing balance	863,521	830,731

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under Active Super – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB 119 *Employee Benefits* for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formula and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are:

Division B	1.9 times member contributions for non-180 Point Members; Nil for 180 Point Members*
Division C	2.5% of salary
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 9.5% from 1 July 2025 of salaries to these members' accumulation accounts in line with current level of SG contributions, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$20.0 million per annum for 1 January 2022 to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June. Given the funding position of the Fund as at 30 June 2024, it was recommended to cease these past service contributions effective 1 January 2025.

The adequacy of contributions is assessed at each actuarial investigation which will be conducted annually, the next of which is due effective 30 June 2025.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

E3-1 Contingencies (continued)

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and Vision Super, and recognised as an expense for the year ending 30 June 2025 was \$ 286,585. The last valuation of the Scheme was performed by fund actuary, Richard Boyfield, FIAA as at 30 June 2024.

Based on the July 2025 invoice issued to Council, and Councils outstanding past service liability contribution as at 30 June 2025, the anticipated employer defined benefit contributions for the 2025/26 year is \$46,788. This includes Councils regular contributions credit of \$9,122.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2025 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,197.6	
Past Service Liabilities	2,092.0	105.0%
Vested Benefits	2,130.4	103.2%

* excluding other accumulation accounts and reserves in both assets and liabilities.

The share of this deficit that is broadly attributed to the Council is estimated to be 0.44% as at 30 June 2025.

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	6.0% per annum
Salary inflation	3.5% per annum
Increase in CPI	2.5% per annum

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review will be completed by December 2025.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30 June this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

E3-1 Contingencies (continued)

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2025	2024
Compensation:		
Short-term benefits	1,300	1,286
Post-employment benefits	114	118
Other long-term benefits	25	–
Termination benefits	216	–
Total	1,655	1,404

Other transactions with KMP and their related parties

Council is not aware of any transactions at arm’s length between KMP and Council.

F1-2 Councillor and Mayoral fees and associated expenses

\$ '000	2025	2024
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	45	38
Councillors' fees	221	196
Other Councillors' expenses (including Mayor)	35	24
Total	301	258

F2 Other relationships

F2-1 Audit fees

\$ '000	2025	2024
During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council - NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	245	231
Remuneration for audit and other assurance services	245	231
Total Auditor-General remuneration	245	231
Non NSW Auditor-General audit firms		
(i) Audit and other assurance services		
Other Assurance Services	22	14
Remuneration for audit and other assurance services	22	14
Total remuneration of non NSW Auditor-General audit firms	22	14
Total audit fees	267	245

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of Operating Result

\$ '000	2025	2024
Net operating result from Income Statement	8,705	14,935
Add / (less) non-cash items:		
Depreciation and amortisation	24,161	22,434
(Gain) / loss on disposal of assets	(83)	284
Unwinding of discount rates on reinstatement provisions	685	511
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	287	(2,503)
Increase / (decrease) in provision for impairment of receivables	(1)	–
(Increase) / decrease of inventories	161	(557)
Decrease/(increase) in other assets	(145)	–
(Increase) / decrease of contract asset	(2,140)	8,643
Increase / (decrease) in payables	13	2
Increase / (decrease) in accrued interest payable	8	(20)
Increase / (decrease) in other accrued expenses payable	(608)	(83)
Increase / (decrease) in other liabilities	365	63
Increase / (decrease) in contract liabilities	(6,270)	2,321
Increase/(decrease) in employee leave entitlements	358	408
Increase / (decrease) in other provisions	(165)	–
Net cash flows from operating activities	25,331	46,438

G2-1 Commitments

Capital commitments (exclusive of GST)

\$ '000	2025	2024
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Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Sewerage and water infrastructure	–	1,586
Buildings / Pools	–	1,184
Plant and equipment	347	1,778
Bridges	832	1,529
Other	299	151
Road infrastructure	–	2,180
Total commitments	1,478	8,408

These expenditures are payable as follows:

Within the next year	1,478	8,408
Total payable	1,478	8,408

G3-1 Events occurring after the reporting date

Council is unaware of any material or significant 'non-adjusting events' that should be disclosed.

G4 Statement of developer contributions

G4-1 Summary of developer contributions

\$ '000	Opening balance at 1 July 2024	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2025	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
Roads	1,959	547	–	–	60	(137)	–	2,429	–
S7.11 contributions – under a plan	1,959	547	–	–	60	(137)	–	2,429	–
S7.12 levies – under a plan	2,334	458	–	–	137	–	–	2,929	–
Total S7.11 and S7.12 revenue under plans	4,293	1,005	–	–	197	(137)	–	5,358	–
S7.11 not under plans	146	304	–	–	18	(82)	–	386	–
S64 contributions	1,958	528	–	–	123	–	–	2,609	–
Total contributions	6,397	1,837	–	–	338	(219)	–	8,353	–

Under the *Environmental Planning and Assessment Act 1979*, local infrastructure contributions, also known as developer contributions, are charged by councils when new development occurs. They help fund infrastructure like parks, community facilities, local roads, footpaths, stormwater drainage and traffic management. It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

G4-2 Developer contributions by plan

\$ '000	Opening balance at 1 July 2024	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2025	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					

S7.11 contributions – under a plan

CONTRIBUTION PLAN (former Harden)

Roads	1,959	547	–	–	60	(137)	–	2,429	–
Total	1,959	547	–	–	60	(137)	–	2,429	–

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Boorowa)

Roads	162	59	–	–	11	–	–	232	–
Community facilities	333	11	–	–	17	–	–	361	–
Other	–	29	–	–	1	–	–	30	–
Total	495	99	–	–	29	–	–	623	–

CONTRIBUTION PLAN (former Harden)

continued on next page ...

G4-2 Developer contributions by plan (continued)

\$ '000	Opening balance at 1 July 2024	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2025	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
Roads	30	96	–	–	6	–	–	132	–
Other	300	5	–	–	15	–	–	320	–
Total	330	101	–	–	21	–	–	452	–
CONTRIBUTION PLAN NUMBER Former Young									
Community facilities	1,509	258	–	–	87	–	–	1,854	–
Total	1,509	258	–	–	87	–	–	1,854	–

G4-3 Contributions not under plans

(former Young)

Drainage	32	–	–	–	2	–	–	34	–
Rye Park Windfarm (roads)	6	239	–	–	8	(82)	–	171	–
Parking	108	65	–	–	8	–	–	181	–
Total	146	304	–	–	18	(82)	–	386	–

G4-4 S7.4 planning agreements

Council established a planning agreement with Rye Park Windfarm to upgrade roads and associated infrastructure. The windfarm completed the work and contributed the asset upgrades to Council.

G4-5 S64 contributions

	Opening balance at 1 July 2024	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2025	Cumulative balance of internal borrowings (to)/from
\$ '000		Cash	Non-cash Land	Non-cash Other					
Boorowa									
Water	466	19	–	–	24	–	–	509	–
Sewer	42	2	–	–	2	–	–	46	–
Total	508	21	–	–	26	–	–	555	–
Young									
Water	1,025	261	–	–	64	–	–	1,350	–
Sewer	425	246	–	–	33	–	–	704	–
Total	1,450	507	–	–	97	–	–	2,054	–

End of the audited financial statements

H1 Statement of performance measures

H1-1 Statement of performance measures – consolidated results

\$ '000	Amounts 2025	Indicator 2025	Indicator 2024	Benchmark
1. Operating performance ratio				
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(12,351)	(18.81)%	(9.42)%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	65,655			
2. Own source operating revenue ratio				
Total continuing operating revenue excluding all grants and contributions ¹	50,177	57.91%	55.64%	> 60.00%
Total continuing operating revenue ¹	86,640			
3. Unrestricted current ratio				
Current assets less all external restrictions	25,097	1.41x	1.50x	> 1.50x
Current liabilities less specific purpose liabilities	17,767			
4. Debt service cover ratio				
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	12,894	4.44x	6.19x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	2,903			
5. Rates and annual charges outstanding percentage				
Rates and annual charges outstanding	3,875	11.91%	12.50%	< 10.00%
Rates and annual charges collectable	32,547			
6. Cash expense cover ratio				
Current year's cash and cash equivalents plus all term deposits	52,327	11.41 months	14.72 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities	4,584			

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

H1-2 Statement of performance measures by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2025	2024	2025	2024	2025	2024	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(32.78)%	(17.79)%	13.27%	13.39%	23.30%	23.07%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	47.06%	46.39%	96.08%	94.53%	96.01%	96.30%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	1.41x	1.50x	21.91x	17.93x	10.83x	10.98x	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	4.23x	7.94x	8.64x	7.79x	3.22x	3.19x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	11.05%	11.68%	13.53%	14.31%	13.83%	14.12%	< 10.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	11.28	14.83	12.11	13.38	13.05	14.25	> 3.00
Monthly payments from cash flow of operating and financing activities	months	months	months	months	months	months	months

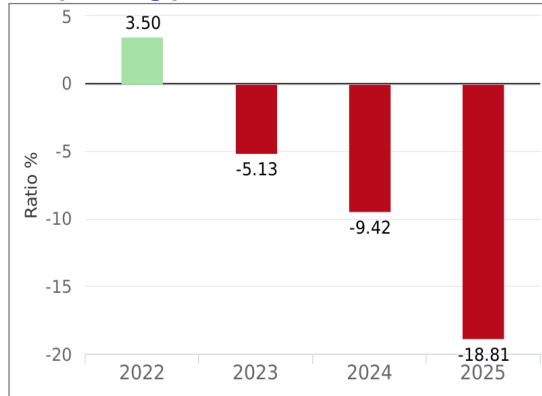
(1) - (2) Refer to Notes at Note G6-1 above.

(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

H Additional Council disclosures (unaudited)

H1-3 Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2024/25 result

2024/25 ratio (18.81)%

The 'operating performance ratio' measures how well Council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent. Council has seen a decline in the current year.

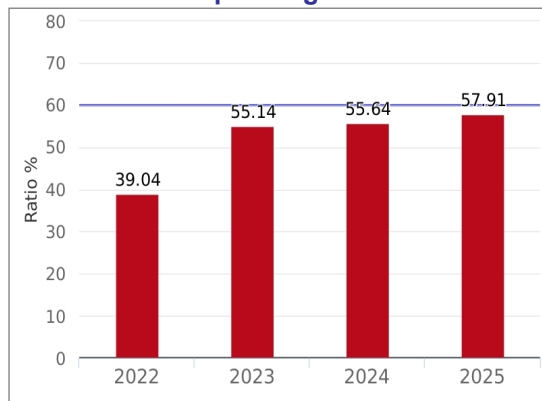
Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2024/25 result

2024/25 ratio 57.91%

The Council did not meet the benchmark for the current reporting period. This indicates the Council continued to rely on grant funding for its operations. However, the ratio has improved from prior years. The benchmark set by OLG is greater than 60 per cent.

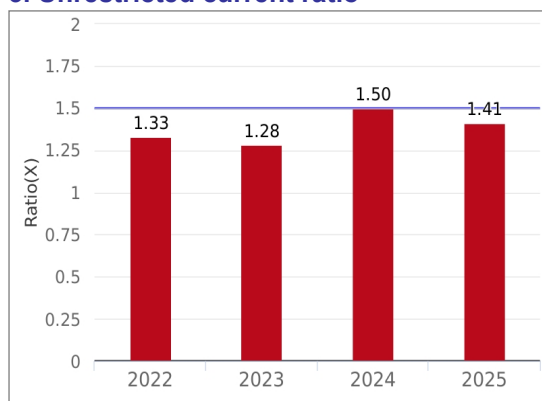
Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2024/25 result

2024/25 ratio 1.41x

The Council did not meet the benchmark for the current reporting period. The 'unrestricted current ratio' is specific to local government and represents Council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.

Benchmark: — > 1.50x

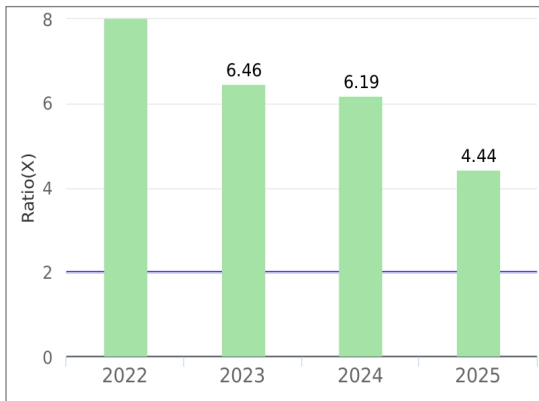
Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

H1-3 Statement of performance measures – consolidated results (graphs) (continued)

4. Debt service cover ratio



Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2024/25 result

2024/25 ratio 4.44x

The Council exceeded the benchmark for the current reporting period. The benchmark set by OLG is greater than two times.

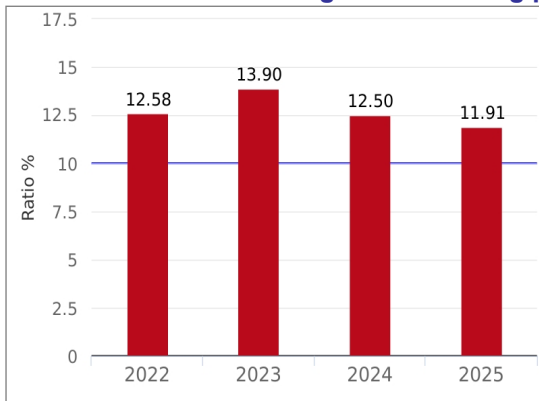
Benchmark: — > 2.00x

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

5. Rates and annual charges outstanding percentage



Purpose of rates and annual charges outstanding percentage

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2024/25 result

2024/25 ratio 11.91%

The Council did not meet the benchmark for the current reporting period. Management advised there are still significant impacts on the ability of rural ratepayers to pay rates and annual charges when they fall due. The benchmark set by OLG is for this ratio to be less than 10 per cent for regional and rural councils

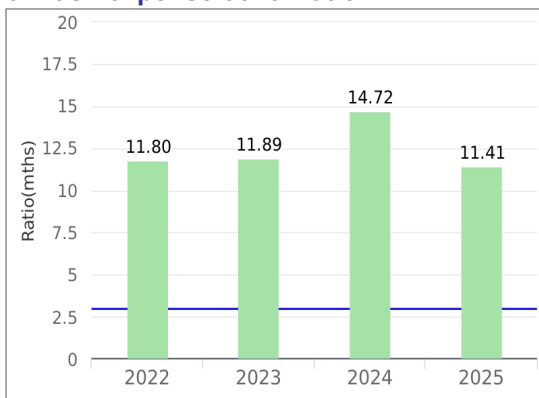
Benchmark: — < 10.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

6. Cash expense cover ratio



Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2024/25 result

2024/25 ratio 11.41 months

The Council exceeded the benchmark for the current reporting period. The benchmark set by OLG is greater than three months.

Benchmark: — > 3.00months

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying financial statements of the Hilltops Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2025, the Statement of Financial Position as at 30 June 2025, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including material accounting policy information and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of the Division
 - are, in all material respects, consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2025, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2025 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

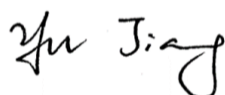
Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations'
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Reiky Jiang
Delegate of the Auditor-General for New South Wales

31 October 2025
SYDNEY



Mr Brian Ingram
Mayor
Hilltops Council
189 Boorowa Street
YOUNG NSW 2594

Contact: Reiky Jiang
Phone no: 02 9275 7281
Our ref: R008-1981756498-7688

31 October 2025

Dear Mayor

Report on the Conduct of the Audit
for the year ended 30 June 2025
Hilltops Council

I have audited the general-purpose financial statements (GPFS) of the Hilltops Council (the Council) for the year ended 30 June 2025 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

My audit procedures did not identify any instances of material non-compliance with the financial reporting requirements in Chapter 13, Part 3, Division 2 of the Act and the associated regulation or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2025 is issued in accordance with section 417 of the Act. The Report:

- must address the specific matters outlined in the Local Government Code of Accounting Practice and Financial Reporting 2024-25
- may include statements, comments and recommendations that I consider to be appropriate based on the conduct of the audit of the GPFS.

This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

INCOME STATEMENT

Financial performance

	2025	2024	Variance
	\$m	\$m	%
Rates and annual charges revenue	28.0	26.7	 4.9
Grants and contributions provided for operating purposes revenue	15.5	17.7	 12.4
Grants and contributions provided for capital purposes revenue	21.0	21.5	 2.3
Operating result from continuing operations	8.7	14.9	 41.6
Net Operating result for the year before grants and contributions provided for capital purposes	(12.3)	(6.6)	 86.4

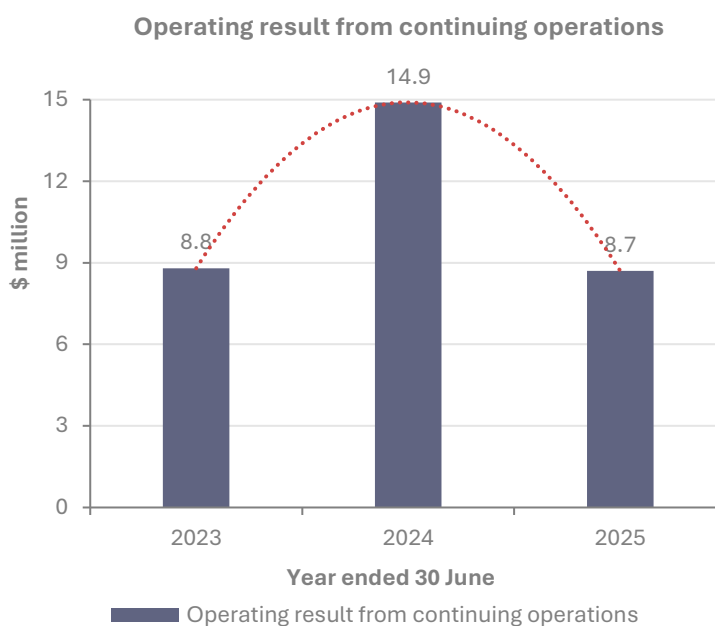
Operating result from continuing operations

This graph shows the operating result from continuing operations for the current and prior two financial years.

Council's operating result from continuing operations for the year was \$6.2 million lower than the 2023–24 result.

In 2024-25:

- total income from continuing operations decreased by \$1.6 million (1.8 per cent), mainly driven by a decrease in grants and contributions of \$2.7 million offset by an increase in rates, annual and user charges and fees of \$1.1 million. Refer to 'Council revenue' and 'Grants and contributions revenue' below for more details
- expenses from continuing operations increases by \$2.9 million (5.7 per cent), mainly due to an increase in employee benefits and on-costs of \$2.2 million. The increase is attributed to new employees in current year, and increase in superannuation and workers compensation insurance
- depreciation, amortisation and impairment of non-financial assets expense increased by \$1.7 million (7.7 per cent) due to an increase in the total value of Infrastructure, property, plant and equipment. .



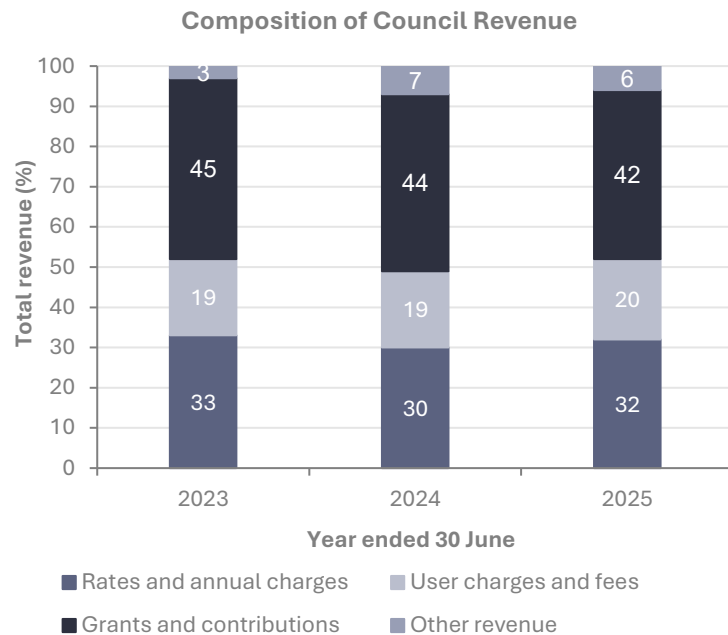
Income

Council revenue

This graph shows the composition of Council's revenue recognised for the current and prior two financial years.

Council revenue (\$86.7 million) decreased by \$1.6 million (1.8 per cent) in 2024–25 due to:

- rates and annual charges revenue (\$28.0 million) increased by \$1.3 million (5.0 per cent) due to the rate peg increase of 5.1 per cent this year
- user charges and fees revenue (\$17.0 million) was consistent with prior year
- grants and contributions revenue (\$36.5 million) decreased by \$2.7 million (6.9 per cent) – see additional details below.

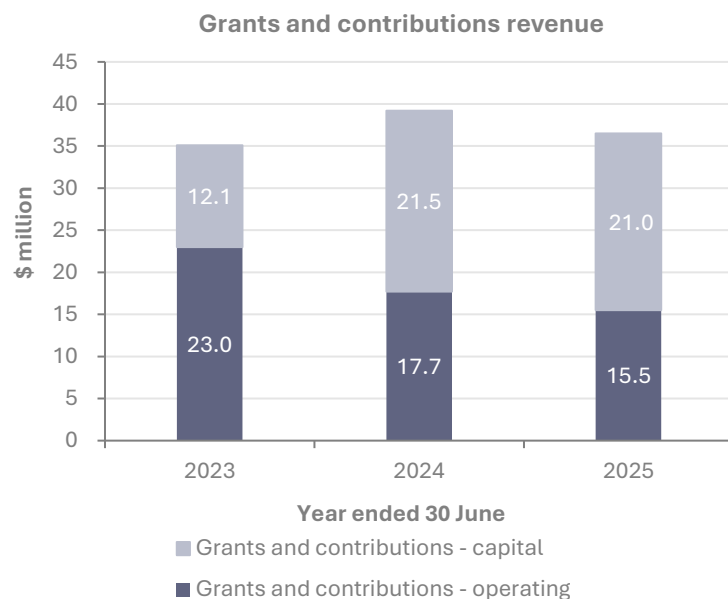


Grants and contributions revenue

This graph shows the amount of grants and contributions revenue recognised for the current and prior two financial years.

Grants and contributions revenue (\$36.5 million) decreased by \$2.7 million (6.9 per cent) in 2024-25 due to:

- decrease of \$2.7 million in grants recognised for natural disasters, infrastructure and community programs
- receiving 50 per cent of the financial assistance grants for 2025-26 in advance (85 per cent for 2024-25).



CASH FLOWS

Statement of cash flows

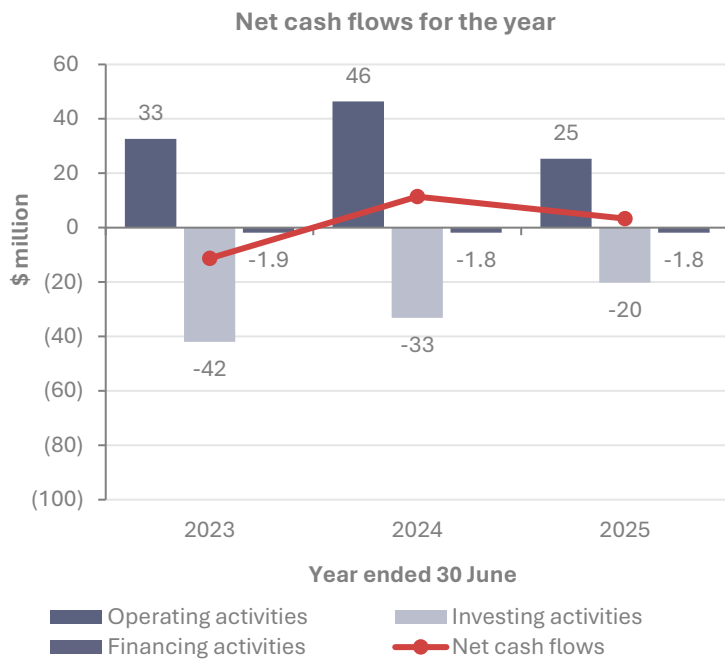
The Statement of Cash Flows details the Council's inflows and outflows of cash over a specific period. It helps in assessing the Council's ability to generate cash to fund its operations, pay off debts, and support future projects. It also aids in identifying any pressures or issues in the Council operating in a financially sustainable manner.

This graph shows the net cash flows for the current and prior two financial years.

The net cash flows for the year were positive \$3.3 million (positive \$11.4 million in 2023-24).

In 2024-25 the net cashflows:

- from operating activities decreased by \$21.1 million, mainly due to a decrease in grants and contributions received. Refer to 'Grants and contributions revenue' above for more details
- used in investing activities decreased by \$12.9 million, mainly due to cash inflows from maturity of term deposits, partially offset by an increase in the purchases of infrastructure, property, plant and equipment during the year.
- used in financing activities was consistent year on year and mainly related to principal repayments on borrowings.



FINANCIAL POSITION

Cash, cash equivalents and investments

This section of the Report provides details of the amount of cash, cash equivalents and investments recorded by the Council at 30 June 2025.

Externally restricted funds are the cash, cash equivalents and investments that can only be used for specific purposes due to legal or contractual restrictions.

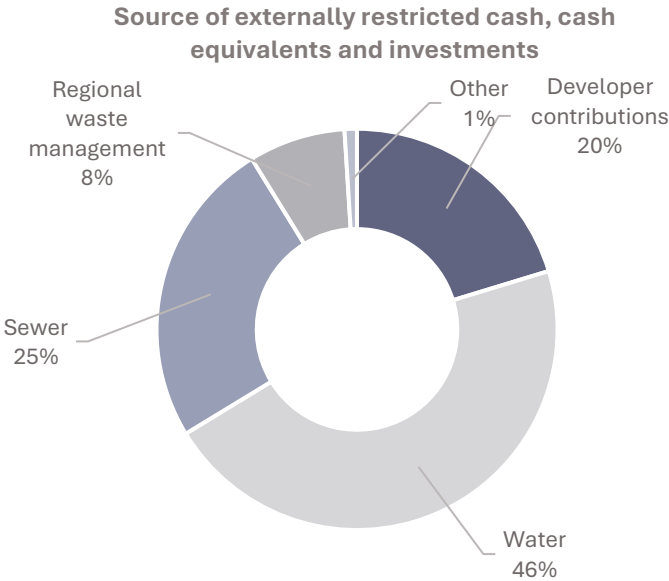
Cash, cash equivalents, and investments without external restrictions can be allocated internally by the elected Council's resolution or policy. These allocations are matters of Council policy and can be changed or removed by a Council resolution.

Cash, cash equivalents and investments	2025	2024	Percentage of total cash and investments 2025	Commentary
	\$m	\$m	%	
Total cash, cash equivalents and investments	52.3	64.0		Externally restricted balances are those which are only available for specific use due to a restriction placed by legislation or third-party contract. A breakdown of the sources of externally restricted balances is included in the graph below.
Restricted and allocated cash, cash equivalents and investments:				
• External restrictions	41.1	39.2	78.6	The Council's externally restricted balances primarily related to the water and sewer funds, regional waste group and developer contributions across the general, water and sewer funds.
• Internal allocations	6.2	6.4	11.9	Internal allocations are determined by council policies or decisions, which are subject to change. They mainly included work programs for plant and vehicle replacement and employees leave entitlements.

This graph shows the sources of externally restricted cash, cash equivalents and investments.

In 2024-25 the Council’s main sources of externally restricted cash, cash equivalents and investments include:

- developer contributions of \$8.4 million which increased by \$2.0 million, mainly due to the increase in general contributions
- water charges of \$18.9 million which increased by \$1.1 million, mainly due to a deferral of water infrastructure projects
- sewer charges of \$9.8 million which decreased by \$0.8 million, driven by completion of sewer projects
- Regional waste management charges of \$3.2 million which was broadly consistent year on year.



Council liquidity

This graph shows the Council’s unrestricted current ratio for the current and prior two financial years.

The unrestricted current ratio is specific to local government and represents council’s ability to meet its short-term obligations as they fall due. The ratio measures the ratio of unrestricted current assets to specific purpose liabilities.

In 2023-24, the average unrestricted current ratio was an average of 3.1x for regional councils.

The decrease in the ratio year on year is predominantly driven by an increase in current restoration provisions.

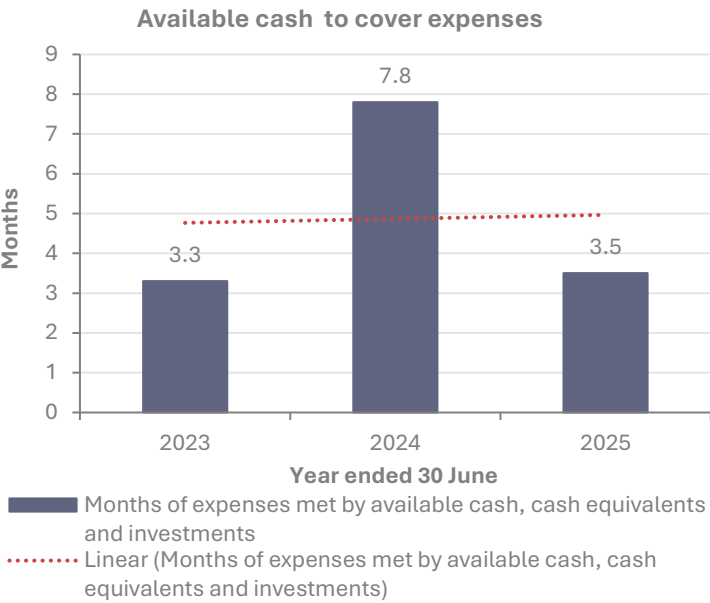


This graph shows the number of months of general fund expenses (excluding depreciation and borrowing costs), Council can fund from its available cash, cash equivalents and investments (not subject to external restrictions).

Further details on cash, cash equivalents and investments including the sources of external restrictions are included in the section above.

In 2023–24, the available cash to cover expenses was an average of 7 months for regional councils.

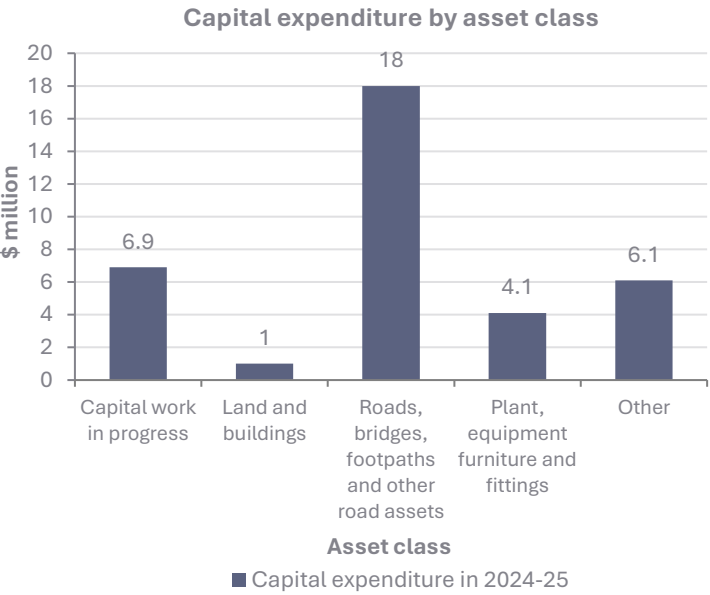
The ratio decreased from prior year as grants and contribution received significantly decreased year on year .



Infrastructure, property, plant and equipment

This graph shows how much the Council spent on renewing and purchasing assets in 2024-25.

Council renewed \$33.5 million of infrastructure, property, plant and equipment during the 2024-25 financial year. This was mainly spent on roads and repair of assets damaged by natural disasters. A further \$2.6 million was spent on new assets including stormwater drainage and land improvements.



Debt

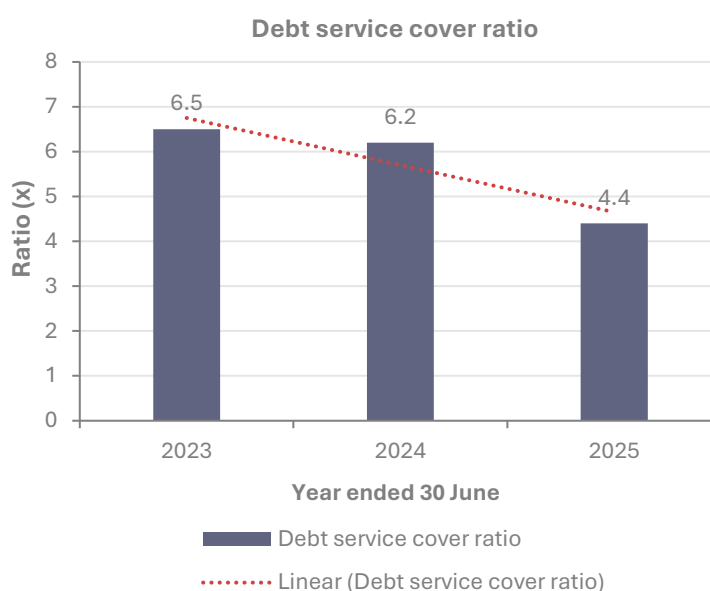
The table below provides an overview of the Council's loans and committed borrowing facilities. Committed borrowing facilities are an element of liquidity management and include bank overdrafts, and credit cards.

Debt	2025	2024	Commentary
	\$'000	\$'000	
Loans	10,079	11,876	• \$10.1 million in secured loans, which decreased year on year mainly driven by principal repayments.
Approved overdraft facility	480	480	• Access to \$500,000 in bank overdraft facilities which were undrawn and available to Council at the reporting date.
Amount drawn down	--	--	
Credit card facility	100	100	• \$100,000 in credit card/purchase card facilities with \$87,000 drawn down at the reporting date.
Amount used	87	28	

Debt service cover

This graph shows the Council's debt service cover ratio for the current and prior two financial years.

The debt service cover ratio measures the operating cash to service debt including interest, principal and lease payments. The decrease is mainly due to the decrease in grants and contributions.



Yu Jiang

Reiky Jiang
Director, financial Audit

Delegate of the Auditor-General for New South Wales

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2025



Special Purpose Financial Statements

for the year ended 30 June 2025

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2025

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached special purpose financial statements have been prepared in accordance with:

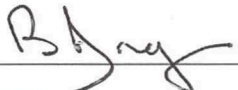
- NSW Government Policy Statement, *Application of National Competition Policy to Local Government*
- Division of Local Government Guidelines, *Pricing and Costing for Council Businesses: A Guide to Competitive Neutrality*
- The Local Government Code of Accounting Practice and Financial Reporting
- Sections 3 and 4 of the NSW Department of Climate Change, Energy, the Environment and Water's (DCCEEW) *Regulatory and assurance framework for local water utilities, July 2022*

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year,
- accord with Council's accounting and other records; and
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

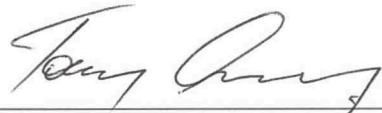
Signed in accordance with a resolution of Council made on 24 September 2025.



Clr Brian Ingram

Mayor

24 September 2025



Clr Tony Flanery

Councillor

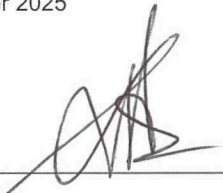
24 September 2025



Mr Anthony O'Reilly

General Manager

24 September 2025



Mr Simon Doolan

Responsible Accounting Officer

24 September 2025

Hilltops Council

Income Statement of water supply business activity

for the year ended 30 June 2025

\$ '000	2025	2024
Income from continuing operations		
Access charges	3,854	3,647
User charges	7,067	6,015
Fees	99	62
Interest and investment income	1,442	714
Grants and contributions provided for operating purposes	178	278
Total income from continuing operations	12,640	10,716
Expenses from continuing operations		
Employee benefits and on-costs	1,128	1,017
Borrowing costs	32	37
Materials and services	3,602	3,284
Depreciation, amortisation and impairment	1,616	1,529
Water purchase charges	4,574	3,403
Net loss from the disposal of assets	20	–
Other expenses	11	11
Total expenses from continuing operations	10,983	9,281
Surplus (deficit) from continuing operations before capital amounts	1,657	1,435
Grants and contributions provided for capital purposes	330	326
Surplus (deficit) from continuing operations after capital amounts	1,987	1,761
Surplus (deficit) from all operations before tax	1,987	1,761
Less: corporate taxation equivalent (25%) [based on result before capital]	(414)	(359)
Surplus (deficit) after tax	1,573	1,402
Plus accumulated surplus	61,760	59,999
Less:		
– Corporate taxation equivalent	414	359
Closing accumulated surplus	63,747	61,760
Return on capital %	3.3%	3.0%
Subsidy from Council	435	657
Calculation of dividend payable:		
Surplus (deficit) after tax	1,573	1,402
Less: capital grants and contributions (excluding developer contributions)	(50)	(100)
Surplus for dividend calculation purposes	1,523	1,302
Potential dividend calculated from surplus	761	651

Hilltops Council

Income Statement of sewerage business activity

for the year ended 30 June 2025

\$ '000	2025	2024
Income from continuing operations		
Access charges	5,120	4,979
User charges	57	64
Liquid trade waste charges	61	57
Fees	–	4
Interest and investment income	732	406
Total income from continuing operations	5,970	5,510
Expenses from continuing operations		
Employee benefits and on-costs	599	590
Borrowing costs	330	328
Materials and services	1,920	1,724
Depreciation, amortisation and impairment	1,730	1,597
Total expenses from continuing operations	4,579	4,239
Surplus (deficit) from continuing operations before capital amounts	1,391	1,271
Grants and contributions provided for capital purposes	248	212
Surplus (deficit) from continuing operations after capital amounts	1,639	1,483
Surplus (deficit) from all operations before tax	1,639	1,483
Less: corporate taxation equivalent (25%) [based on result before capital]	(348)	(318)
Surplus (deficit) after tax	1,291	1,165
Plus accumulated surplus	45,686	44,202
Less:		
– Corporate taxation equivalent	348	318
- Other adjustments (rounding)	–	1
Closing accumulated surplus	47,325	45,686
Return on capital %	3.1%	3.1%
Subsidy from Council	610	647
Calculation of dividend payable:		
Surplus (deficit) after tax	1,291	1,165
Surplus for dividend calculation purposes	1,291	1,165
Potential dividend calculated from surplus	646	583

Hilltops Council

Income Statement - South West Regional Waste Management Group

for the year ended 30 June 2025

\$ '000	2025 Category 1	2024 Category 1
Income from continuing operations		
Interest and investment income	199	105
Grants and contributions provided for operating purposes	2,158	2,264
Net gain from the disposal of assets	31	—
Total income from continuing operations	2,388	2,369
Expenses from continuing operations		
Employee benefits and on-costs	129	63
Borrowing costs	118	25
Materials and contracts	1,632	1,819
Depreciation, amortisation and impairment	174	173
Total expenses from continuing operations	2,053	2,080
Surplus (deficit) from continuing operations before capital amounts	335	289
Surplus (deficit) from continuing operations after capital amounts	335	289
Surplus (deficit) from all operations before tax	335	289
Less: corporate taxation equivalent (25%) [based on result before capital]	(84)	(72)
Surplus (deficit) after tax	251	217
Plus accumulated surplus	5,446	5,158
Less: other adjustments	(1)	(1)
– Corporate taxation equivalent	84	72
Closing accumulated surplus	5,780	5,446
Return on capital %	9.6%	7.3%
Subsidy from Council	—	—
Calculation of dividend payable:		
Surplus (deficit) after tax	251	217
Surplus for dividend calculation purposes	251	217
Potential dividend calculated from surplus	126	109

Hilltops Council

Income Statement – South West Rural Fire Zone

for the year ended 30 June 2025

\$ '000	2025 Category 2	2024 Category 2
Income from continuing operations		
Grants and contributions provided for operating purposes	46	65
Total income from continuing operations	46	65
Expenses from continuing operations		
Materials and contracts	48	49
Total expenses from continuing operations	48	49
Surplus (deficit) from continuing operations before capital amounts	(2)	16
Surplus (deficit) from continuing operations after capital amounts	(2)	16
Surplus (deficit) from all operations before tax	(2)	16
Less: corporate taxation equivalent (25%) [based on result before capital]	–	(4)
Surplus (deficit) after tax	(2)	12
Plus accumulated surplus	52	37
Less: other adjustments	–	(1)
– Corporate taxation equivalent	–	4
Closing accumulated surplus	50	52
Return on capital %	0.0%	0.0%
Subsidy from Council	2	–
Calculation of dividend payable:		
Surplus (deficit) after tax	(2)	12
Surplus for dividend calculation purposes	–	12
Potential dividend calculated from surplus	–	6

Hilltops Council

Statement of Financial Position of water supply business activity

as at 30 June 2025

\$ '000	2025	2024
ASSETS		
Current assets		
Contract assets and contract cost assets	116	103
Cash and cash equivalents ¹	3,281	3,281
Investments ¹	17,449	15,970
Receivables	2,874	3,161
Total current assets	23,720	22,515
Non-current assets		
Receivables	127	127
Infrastructure, property, plant and equipment	51,053	49,519
Total non-current assets	51,180	49,646
Total assets	74,900	72,161
LIABILITIES		
Current liabilities		
Payables	395	580
Borrowings	358	353
Employee benefit provisions	235	221
Total current liabilities	988	1,154
Non-current liabilities		
Borrowings	1,489	1,847
Total non-current liabilities	1,489	1,847
Total liabilities	2,477	3,001
Net assets	72,423	69,160
EQUITY		
Accumulated surplus	63,747	61,760
IPPE revaluation surplus	8,676	7,400
Total equity	72,423	69,160

(1) Council historically held its interfund balances as cash in the special purpose statements. The funds are not held as cash, so Council has moved these balances to investments in the current year and changed the comparatives in the prior year. This treatment moved \$7,906 from cash to investments in 2023/24 and \$8,064 in 2024/25.

Hilltops Council

Statement of Financial Position of sewerage business activity

as at 30 June 2025

\$ '000	2025	2024
ASSETS		
Current assets		
Cash and cash equivalents ¹	2,856	2,855
Investments ¹	7,705	8,182
Receivables	906	841
Total current assets	11,467	11,878
Non-current assets		
Receivables	1	1
Infrastructure, property, plant and equipment	56,039	52,227
Total non-current assets	56,040	52,228
Total assets	67,507	64,106
LIABILITIES		
Current liabilities		
Payables	70	41
Borrowings	754	745
Employee benefit provisions	125	118
Total current liabilities	949	904
Non-current liabilities		
Borrowings	6,305	7,057
Total non-current liabilities	6,305	7,057
Total liabilities	7,254	7,961
Net assets	60,253	56,145
EQUITY		
Accumulated surplus	47,325	45,686
IPPE revaluation surplus	12,928	10,459
Total equity	60,253	56,145

(1) Council historically held its interfund balances as cash in the special purpose statements. The funds are not held as cash, so Council has moved these balances to investments in the current year and changed the comparatives in the prior year. This treatment moved \$7,107 from cash to investments in 2023/24 and \$6,630 in 2024/25.

Hilltops Council

Statement of Financial Position of South West Regional Waste Management Group

as at 30 June 2025

\$ '000	2025 Category 1	2024 Category 1
ASSETS		
Current assets		
Investments ¹	3,069	3,194
Receivables	211	353
Total current assets	3,280	3,547
Non-current assets		
Infrastructure, property, plant and equipment	4,723	4,288
Total non-current assets	4,723	4,288
Total assets	8,003	7,835
LIABILITIES		
Current liabilities		
Payables	2	304
Total current liabilities	2	304
Non-current liabilities		
Provisions	2,201	2,083
Total non-current liabilities	2,201	2,083
Total liabilities	2,203	2,387
NET ASSETS	5,800	5,448
EQUITY		
Accumulated surplus	5,780	5,446
IPPE Revaluation surplus	20	2
Total equity	5,800	5,448

(1) Council historically held its interfund balances as cash in the special purpose statements. The funds are not held as cash, so Council has moved these balances to investments in the current year and changed the comparatives in the prior year. This treatment moved \$3,194 from cash to investments in 2023/24 and \$3,069 in 2024/25.

Hilltops Council

Statement of Financial Position – South West Rural Fire Zone

as at 30 June 2025

\$ '000	2025 Category 2	2024 Category 2
ASSETS		
Current assets		
Investments ¹	33	53
Receivables	18	–
Total current assets	51	53
Total assets	51	53
LIABILITIES		
Current liabilities		
Payables	1	1
Total current liabilities	1	1
Total liabilities	1	1
NET ASSETS	50	52
EQUITY		
Accumulated surplus	50	52
Total equity	50	52

(1) Council historically held its interfund balances as cash in the special purpose statements. The funds are not held as cash, so Council has moved these balances to investments in the current year and changed the comparatives in the prior year. This treatment moved \$53 from cash to investments in 2023/24 and \$33 in 2024/25.

Note – Material accounting policy information

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2021* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

c. South West Slopes Regional Waste Management Group.

Provision of a waste facility for the region.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Rural Fire Zone

Monetary amounts

Amounts shown in the financial statements are in Australian dollars and rounded to the nearest one thousand dollars.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes, which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are

continued on next page ...

Note – Material accounting policy information (continued)

reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **25%** (LY 25%)

Land tax – the first \$1,075,000 of combined land values attracts **0%**. For the combined land values in excess of \$1,075,000 up to \$6,571,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$6,571,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **5.45%** on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with DCCEEW's regulatory and assurance framework, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the regulatory and assurance framework as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to DCCEEW's regulatory and assurance framework is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (LY 25%).

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 25% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Note – Material accounting policy information (continued)

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 4.16% at 30/6/25.

(iii) Dividends

Council is not required to pay dividends to either itself as owner of a range of businesses, or to any external entities.

A local government water supply and sewerage business is permitted to pay annual dividends from their water supply or sewerage business surpluses. Each dividend must be calculated and approved in accordance with DCCEEW's regulatory and assurance framework and must not exceed 50% of the relevant surplus in any one year, or the number of water supply or sewerage assessments at 30 June 2025 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with DCCEEW's regulatory and assurance framework, statement of compliance and statement of dividend payment, dividend payment form and unqualified independent financial audit report are submitted to DCCEEW.



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of the Hilltops Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2025, the Statement of Financial Position of each Declared Business Activity as at 30 June 2025 and the Material accounting policy information note.

The Declared Business Activities of the Council are:

- water supply
- sewerage
- South West Regional Waste Management Group
- South West Rural Fire Zone.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2025, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Material accounting policy information note and the Local Government Code of Accounting Practice and Financial Reporting 2024–25 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Material accounting policy information note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2025 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Material accounting policy information note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

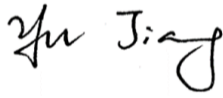
Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Yu Jiang'.

Reiky Jiang
Delegate of the Auditor-General for New South Wales

31 October 2025
SYDNEY

Hilltops Council

SPECIAL SCHEDULES
for the year ended 30 June 2025



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Hilltops Council

Permissible income for general rates

\$ '000	Notes	Calculation 2024/25	Calculation 2025/26
Notional general income calculation ¹			
Last year notional general income yield	a	15,105	15,920
Plus or minus adjustments ²	b	46	43
Notional general income	c = a + b	15,151	15,963
Permissible income calculation			
Percentage increase	d	5.10%	4.40%
Plus percentage increase amount ³	f = d x (c + e)	773	702
Sub-total	g = (c + e + f)	15,924	16,665
Plus (or minus) last year's carry forward total	h	13	7
Less valuation objections claimed in the previous year	i	(12)	(2)
Sub-total	j = (h + i)	1	5
Total permissible income	k = g + j	15,925	16,670
Less notional general income yield	l	15,920	16,695
Catch-up or (excess) result	m = k - l	5	(25)
Plus income lost due to valuation objections claimed ⁴	n	2	—
Carry forward to next year ⁶	p = m + n + o	7	(25)

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (3) The 'percentage increase' is inclusive of the rate-peg percentage, and/or special variation and/or Crown land adjustment (where applicable).
- (4) Valuation objections are unexpected changes in land values as a result of land owners successfully objecting to the land value issued by the Valuer General. Councils can claim the value of the income lost due to valuation objections in any single year.
- (6) Carry-forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the Act. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of the Hilltops Council (the Council) for the year ending 30 June 2026.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2024–25 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2025 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2025'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

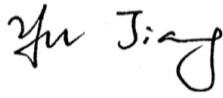
Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.



Reiky Jiang
Delegate of the Auditor-General for New South Wales

31 October 2025
SYDNEY

Hilltops Council

Report on infrastructure assets as at 30 June 2025

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2024/25 Required maintenance ^a	2024/25 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Buildings	765	3,643	339	306	77,747	168,445	35.0%	36.0%	14.0%	15.0%	0.0%
	Buildings Water	—	—	—	12	46	67	100.0%	0.0%	0.0%	0.0%	0.0%
	Buildings Sewer	—	—	—	20	1,202	1,577	99.0%	1.0%	0.0%	0.0%	0.0%
	Sub-total	765	3,643	339	338	78,995	170,089	35.6%	35.7%	13.9%	14.9%	0.0%
Other structures	Other structures	874	2,554	185	188	6,769	10,654	61.0%	21.0%	12.0%	3.0%	3.0%
	Sub-total	874	2,554	185	188	6,769	10,654	61.0%	21.0%	12.0%	3.0%	3.0%
Roads	Bridges	5,633	9,162	284	307	72,664	103,193	37.0%	40.0%	20.0%	3.0%	0.0%
	Footpaths	249	1,425	130	101	11,734	16,716	81.0%	9.0%	7.0%	3.0%	0.0%
	K&G	621	2,034	317	131	10,987	27,425	29.0%	8.0%	32.0%	30.0%	1.0%
	Roads	12,174	37,023	6,036	6,396	336,543	525,200	18.0%	56.0%	22.0%	3.0%	1.0%
	Earthworks	—	—	—	—	143,265	143,265	11.0%	43.0%	28.0%	15.0%	3.0%
	Sub-total	18,677	49,644	6,767	6,935	575,194	815,799	20.8%	49.1%	22.8%	6.0%	1.3%
Water supply network	Water supply network	4,973	17,435	758	694	43,751	101,143	11.0%	34.0%	43.0%	4.0%	8.0%
	Reservoirs	2,167	3,504	118	47	4,970	10,087	29.0%	8.0%	20.0%	17.0%	26.0%
	Pump Stations	136	1,292	71	210	1,207	2,458	33.0%	30.0%	19.0%	18.0%	0.0%
	Other	—	313	20	28	416	818	29.0%	18.0%	52.0%	0.0%	1.0%
	Sub-total	7,276	22,544	967	979	50,344	114,506	13.2%	31.5%	40.5%	5.4%	9.4%
Sewerage network	Sewerage network	3,021	2,548	332	175	32,687	63,980	29.0%	12.0%	41.0%	18.0%	0.0%
	Treatment Plant	4,685	14,988	572	745	16,747	35,459	62.0%	1.0%	7.0%	0.0%	30.0%
	Pump Stations	319	786	89	69	977	2,730	4.0%	12.0%	53.0%	7.0%	24.0%
	Other	1,130	604	190	217	1,314	2,810	0.0%	21.0%	0.0%	0.0%	79.0%
	Sub-total	9,155	18,926	1,183	1,206	51,725	104,979	38.7%	8.5%	28.7%	11.2%	12.9%
Stormwater drainage	Other	8,316	23,195	261	197	29,040	72,934	16.0%	17.0%	39.0%	9.0%	19.0%
	Sub-total	8,316	23,195	261	197	29,040	72,934	16.0%	17.0%	39.0%	9.0%	19.0%
Open space / recreational assets	Swimming pools	603	3,112	442	527	8,653	14,588	66.0%	4.0%	18.0%	7.0%	5.0%
	Other	600	3,097	711	606	18,880	27,232	74.0%	12.0%	8.0%	4.0%	2.0%
	Sub-total	1,203	6,209	1,153	1,133	27,533	41,820	71.2%	9.2%	11.5%	5.0%	3.1%

Hilltops Council

Report on infrastructure assets as at 30 June 2025 (continued)

Total – all assets	46,266	126,715	10,855	10,976	829,067	1,330,781	25.1%	39.4%	24.1%	7.6%	3.8%
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(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Hilltops Council

Report on infrastructure assets as at 30 June 2025

Infrastructure asset performance indicators (consolidated) *

\$ '000	Amounts 2025	Indicator 2025	Indicator 2024	Benchmark
Buildings and infrastructure renewals ratio				
Asset renewals ¹	28,490	137.61%	158.54%	> 100.00%
Depreciation, amortisation and impairment	20,703			
Infrastructure backlog ratio				
Estimated cost to bring assets to a satisfactory standard	46,266	5.53%	5.58%	< 2.00%
Net carrying amount of infrastructure assets	836,646			
Asset maintenance ratio				
Actual asset maintenance	10,976	101.11%	99.83%	> 100.00%
Required asset maintenance	10,855			
Cost to bring assets to agreed service level				
Estimated cost to bring assets to an agreed service level set by Council	126,715	9.45%	9.50%	
Gross replacement cost	1,340,248			

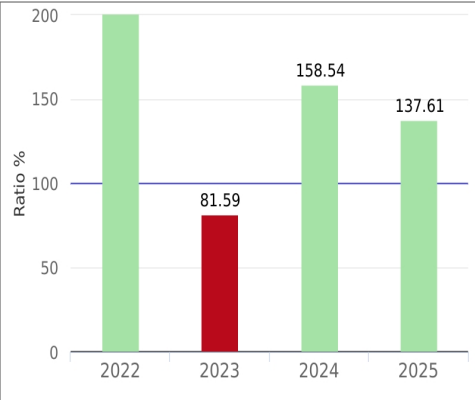
(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Hilltops Council

Report on infrastructure assets as at 30 June 2025

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result	
24/25 ratio	137.61%
Some major infrastructure for roads and bridges was finalised in the last two years. This has resulted in the big increases	

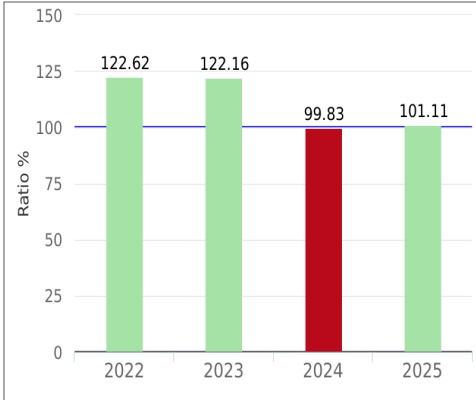
Benchmark: — > 100.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result	
24/25 ratio	101.11%
As detailed above, the spend on capital has meant a reduction in maintenance costs. Council is just above the benchmark	

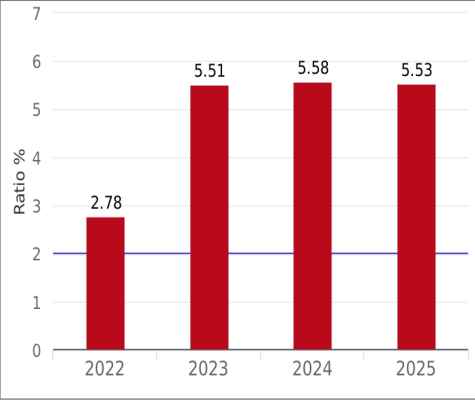
Benchmark: — > 100.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result	
24/25 ratio	5.53%
Council completed a new assessment (with Morrison Low) of its required infrastructure spend in the 2023 year resulting in the prior change. The same methodology has been applied in the current year arriving at a similar result. Council is well outside the benchmark of less than 2, however is moving in the right direction.	

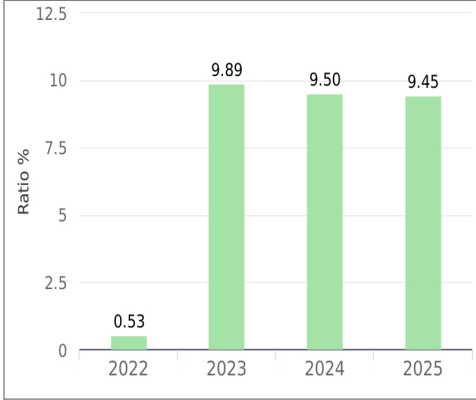
Benchmark: — < 2.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result	
24/25 ratio	9.45%
Council completed a new assessment (with Morrison Low) of its required infrastructure spend in the 2023 year resulting in the prior change. The same methodology has been applied in the current year arriving at a similar result.	

Hilltops Council

Report on infrastructure assets as at 30 June 2025

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2025	2024	2025	2024	2025	2024	
Buildings and infrastructure renewals ratio							
Asset renewals ¹							
Depreciation, amortisation and impairment	146.73%	179.07%	84.58%	84.46%	92.81%	15.56%	> 100.00%
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard							
Net carrying amount of infrastructure assets	4.06%	3.84%	14.45%	16.30%	17.70%	19.45%	< 2.00%
Asset maintenance ratio							
Actual asset maintenance							
Required asset maintenance	100.99%	99.56%	101.24%	99.14%	101.94%	102.36%	> 100.00%
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council							
Gross replacement cost	7.67%	7.62%	19.69%	19.72%	18.03%	18.21%	

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.